July 19, 2026 08:00 PM GMT

Global Thematics | North America

AI Adoption and the Future of Work: Sector Deep Dive

Following our earlier AI adoption and the Future of Work survey on workforce disruption across Banks, Tech and Professional Services, we now focus on the sector and company implications of AI adoption.

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Key Takeaways

- Our recent AI and the Future of Work survey covered Banks, Software, Tech Hardware, Semis and Professional Services in the US, UK, Germany, Japan and Australia
- Over the past 12 months, AI drove 12% job cuts and 15% of roles not to be backfilled, partially offset by 22% new hires, leading to a 5% net job loss
- Respondents also reported meaningful productivity increases due to AI, at 9.6% on average across all sectors and regions
- In this report, we shift the focus from aggregate employment trends to the sector- and company-level implications of AI adoption
- Banks, Tech Hardware & Semis are net beneficiaries. In Software & Prof. Services, proprietary data, embedded workflows and pricing power are differentiators

Tech Diffusion

A Morgan Stanley Research Key Theme of 2026

Societal Shifts

A Morgan Stanley Research Key Theme of 2026

We recently published our second AI Adoption and the Future of Work survey, examining the impact of AI on employment across **Banks, Software, Tech Hardware, Semis, and Professional Services**. In our previous note, we focused on aggregate employment trends across both waves of our surveys, with our findings reinforcing that AI adoption is already reshaping workforces and driving meaningful productivity gains across industries.

In this follow-up note, we focus specifically on sector and company implications. We summarize our key observations by sector and highlight the companies and business models we believe are most exposed to the opportunities and risks associated with AI-driven transformation.

For **Banks**, our analysts view AI as a cost, productivity, and operating-leverage opportunity. Banks are using AI to improve IT, finance, customer service and operations, not front-office replacement. In general, our analysts expect

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job disruption at banks to be higher than that indicated in the survey data. In the US, large banks have already reduced headcount. In Europe, our analysts expect a 10-20% headcount reduction over the medium term; this compares to the 4% net job loss reported by UK and German banks in our survey – our analysts see the survey data as an early signal of headcount reduction due to AI and consistent with their thesis.

Within **Software**, AI is having a material productivity impact on software development and, by extension, on software vendors. US companies have so far announced some significant layoffs, while European firms are generally holding headcount flat and shifting hiring toward AI, data and product skills. In Australia, our analysts note that adoption is broadening. Our analysts think that the greatest beneficiaries will be those that can combine proprietary data, embedded workflows and effective AI monetization.

For **Tech Hardware & Semis** companies, AI benefits in two ways: it improves productivity across their own operations, while also increasing demand for chips and AI infrastructure. European adoption is expanding across predictive maintenance, yield optimization, digital twins and AI-assisted design. Headcount reductions remain at an early stage, but the overall sector impact is positive because these companies supply the essential "picks and shovels" of AI adoption.

For **Professional Services**, our analysts think that the most durable value creation will come from embedding AI into core operating infrastructure as opposed to isolated task automation or headcount reduction. For these companies, the opportunity includes both cost savings and new AI-enabled products. In the US, our analysts note that employment is being reshaped more through retraining and redeployment than wholesale replacement. In Europe, AI outcomes vary by business model - proprietary data and testing look well placed, while staffing and outsourcing firms face greater disruption and pricing pressure.

Though our surveys indicate that AI is already driving employment churn, transcript mentions of AI's impact on labor remain relatively limited. As of 2Q26, ~10% of S&P 500 companies discussed AI's labor implications, up from ~6% a year ago, with commentary most frequent in Financials, Tech, and Industrials. The incidence was higher among MS AI Adopters, at 18%, suggesting labor considerations rise with adoption maturity. In 2Q26, commentary was split across "automation", "lower headcount growth or hiring", and "revenue-headcount decoupling", with the latter gaining the most share as companies focus on improving productivity and revenue per employee. (See What Are Companies Saying About AI Adoption Benefits & AI's Impact on Labor?)

Australia deep dive: We note that our Australian macro team published a report on the Future of Work in Australia today, which uses our two surveys to inform the outlook for Australian employment (see The Future of Work Downunder). Our strategists see Australia as an AI productivity case study, given workforce mix and economic state of play (we note that our UK economist views the UK similarly, see UK Mid-Year Outlook). In Australia, regulation is emerging as an increasingly important consideration for policymakers and is likely to shape the pace and breadth of AI adoption going forward.

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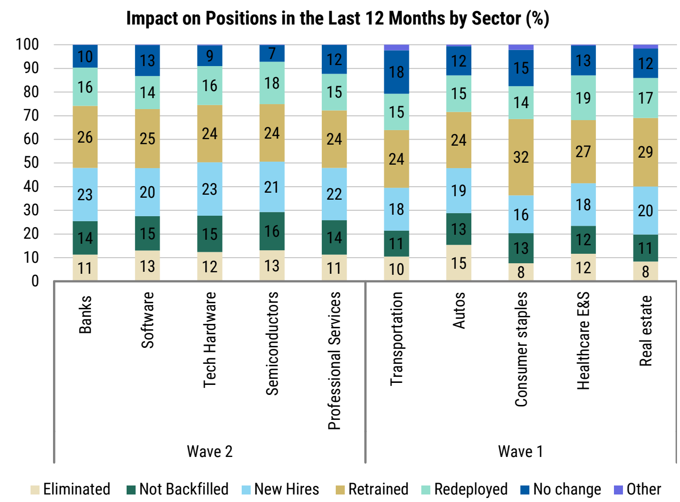
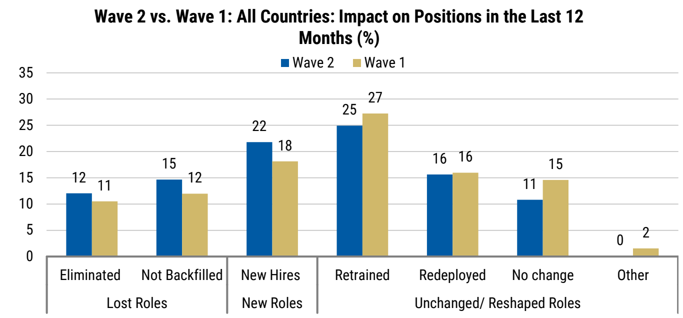
Survey Data - Six Key Charts

Exhibit 1: Our surveys indicate that AI adoption is reshaping workforces across industries…



Source: AlphaWise, Morgan Stanley Research

Exhibit 2: … with broadly consistent dynamics observed in both waves: an average 5% net job loss for Wave 2, vs 4% for Wave 1



Source: AlphaWise, Morgan Stanley Research

Exhibit 3: Younger workers were most impacted by role eliminations and positions not backfilled across both surveys

WAVE 2 AVERAGE %	Eliminated	Not backfilled	Hired	Retrained	Redeployed
Graduates with no prior work experience	12	12	11	9	9
Non-Graduates with no prior work experience	11	10	7	8	8
< 2 years work experience	16	16	15	14	14
2 to 5 years work experience	18	19	21	20	20
6 to 10 years work experience	16	16	19	19	20
11 to 15 years work experience	11	11	12	13	13
16 to 20 years work experience	8	7	8	8	9
21 to 30 years work experience	5	5	4	5	5
Over 30 years work experience	3	3	3	3	3

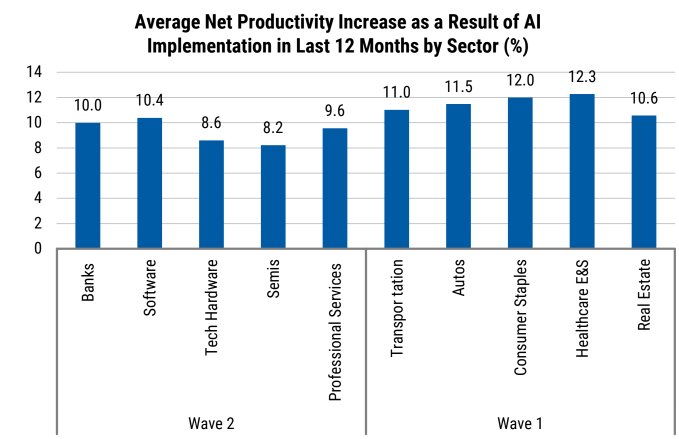
Source: AlphaWise, Morgan Stanley Research

Exhibit 4: Offshore workers were most impacted by eliminations and positions not backfilled at Banks and Software companies

Mean impact	Banks	Software	Tech Hardware	Semis	Professional Services
Permanent employees globally directly employed by the company	1.99	1.89	2.04	2.16	2.05
Contract/temporary employees globally directly employed by the company	1.95	2.05	2.07	2.06	2.04
Contract/temporary employees NOT directly employed by the firm/ off-shore employees	2.24	2.24	1.98	1.8	1.99

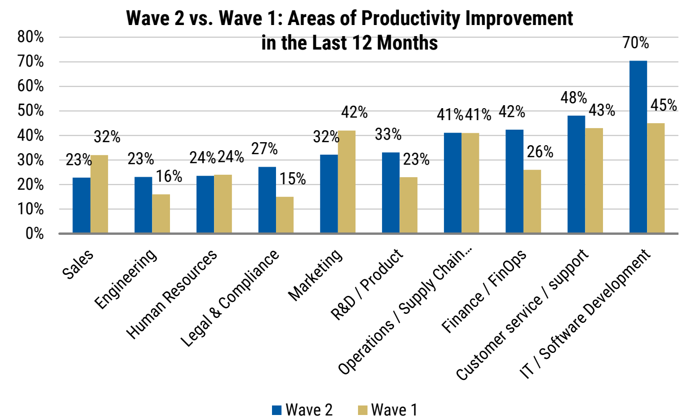
Source: AlphaWise, Morgan Stanley Research

Exhibit 5: AI is also driving meaningful efficiency gains, with companies reporting high single-digit to low double-digit productivity increases across both surveys



Source: AlphaWise, Morgan Stanley Research

Exhibit 6: IT/software development and customer service were the top two areas of increased productivity across both surveys



Source: AlphaWise, Morgan Stanley Research

Survey Data - Summary Tables

Exhibit 7: Country overview

Country	Wave 2					Wave 1				
	Net Job Impact				Productivity Gain	Net Job Impact				Productivity Gain
	Net Job Loss/Gain	Eliminated	Not Backfilled	New Hires		Net Job Loss/Gain	Eliminated	Not Backfilled	New Hires	
All-Country Average	**-5%**	-12%	-15%	+22%	**+9.6%**	**-4%**	-11%	-12%	+18%	**+11.5%**
US	**-5%**	-13%	-15%	+23%	**+10.2%**	**+2%**	-8%	-9%	+19%	**+10.8%**
UK	**-6%**	-12%	-15%	+21%	**+10.3%**	**-8%**	-10%	-13%	+15%	**+11.0%**
Germany	**+1%**	-9%	-12%	+22%	**+8.4%**	**-4%**	-13%	-11%	+20%	**+10.1%**
Japan	**-10%**	-14%	-16%	+20%	**+9.8%**	**-7%**	-12%	-12%	+17%	**+11.9%**
Australia	**-4%**	-12%	-15%	+23%	**+9.3%**	**-4%**	-11%	-13%	+20%	**+13.6%**

Source: AlphaWise, Morgan Stanley Research

Exhibit 8: Sector overview

Wave 2						Wave 1					
Sector	Net Job Impact				Productivity Gain	Sector	Net Job Impact				Productivity Gain
	Net Job Loss/Gain	Eliminated	Not Backfilled	New Hires			Net Job Loss/Gain	Eliminated	Not Backfilled	New Hires	
Banks	**-3%**	-11%	-14%	+23%	**+10.0%**	Transportation	**-3%**	-10%	-11%	+18%	**+11.0%**
Software	**-7%**	-13%	-15%	+20%	**+10.4%**	Autos	**-10%**	-15%	-13%	+19%	**+11.5%**
Tech Hardware	**-5%**	-12%	-15%	+23%	**+8.6%**	Consumer Staples	**-4%**	-8%	-13%	+16%	**+12.0%**
Semis	**-8%**	-13%	-16%	+21%	**+8.2%**	Healthcare E&S	**-5%**	-12%	-12%	+18%	**+12.3%**
Professional Services	**-4%**	-11%	-14%	+22%	**+9.6%**	Real Estate	**+1%**	-8%	-11%	+20%	**+10.6%**

Source: AlphaWise, Morgan Stanley Research

AlphaWise Survey Details

Exhibit 9:

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Primary Research

See what others don't.

1) AI adoption drove a 5% net job loss globally over the last 12 months among the banks, software & services, tech hardware & equipment, semiconductors and professional services sectors. Over the last 12 months, those with 2 to 10 years' work experience, particularly those with 2 to 5 years' experience, were more vulnerable to job elimination and positions not backfilled. Candidates most likely to be hired in the next 12 months will have 2 to 10 years' work experience, followed by those with 2 years' experience. 2) Across all countries, of those positions that were eliminated/not backfilled in the last 12 months, 41% of companies reported that offshore contract/temporary employees were most impacted, followed by 38% asserting that permanent employees globally were most impacted. 3) AI adoption boosted company productivity by a net average of 9.6% over the past year, highest in the UK and US, with the biggest gains in IT, customer service, and financial operations. Looking ahead, firms expect even stronger improvements — especially in Germany, Japan, and sectors like semiconductors and professional services, signalling growing confidence in AI's ability to drive measurable efficiency gains.

Methodology

In April 2026, we carried out a total of 808 online interviews with professionals with detailed knowledge of their company's AI strategy & implementation. The sample consisted of companies within the banks, software & services, tech hardware & equipment, semiconductors & professional services sectors in the US, the UK, Germany, Japan and Australia that have been implementing or developing AI solutions for at least 12 months and plan to continue to do this in the next 12 months.

Sample by Country

US: 160

UK: 163

Germany: 163

Japan: 159

Australia: 163

Sample by Company Sector

Banks: 202

Software & services: 204

Tech hardware & equipment: 150

Semiconductors: 52

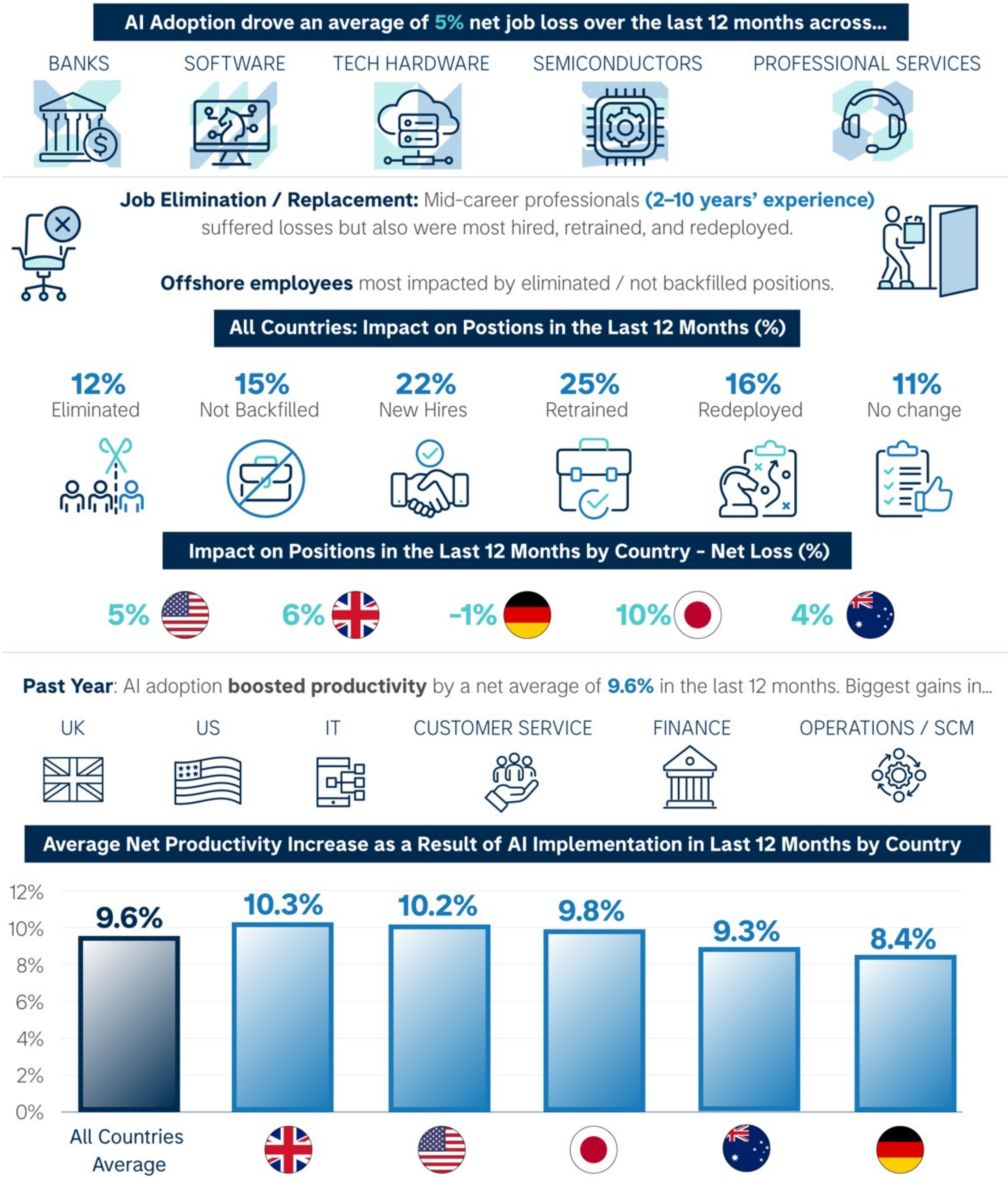
Professional services: 183

Team behind the analysts.

AlphaWise Primary Research gathers alternative data and generates unique insights via an innovative analytical and visualization platform.

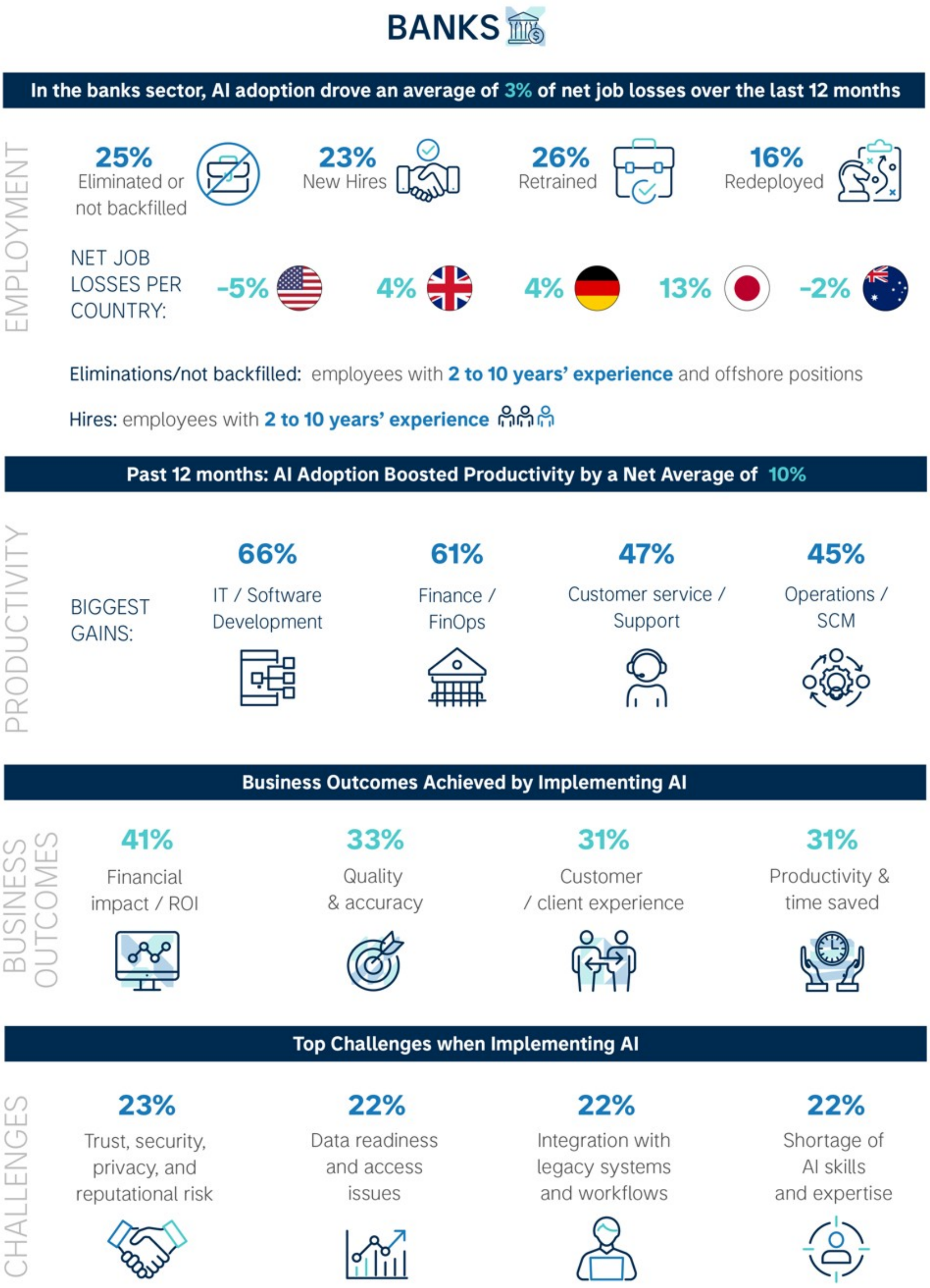
Source: AlphaWise, Morgan Stanley Research

The Story in Pictures



AlphaWise, Morgan Stanley Research

Banks - The Story In Pictures



AlphaWise, Morgan Stanley Research

US Banks - Survey Backs Up Banks As AI Beneficiaries

Manan Gosalia, Connell Schmitz

Bottom line: The survey supports our view that banks are net AI beneficiaries. We expect operational efficiency to improve across our coverage as banks utilize AI tools to ramp productivity. Across larger wholesale banks, we expect AI tools will help drive productivity gains of 20–50% across a wide range of functions including financial advisors, wholesale banking and markets teams, and operational staff, as it gets embedded into workflows over the next several years. We have written extensively about the benefits of AI to asset and wealth managers in our Bluepaper: The AI Tipping Point. Additionally, we collaborated with our thematics colleagues on the impact of AI on banks in Thematic Investing: AI Adoption and the Future of Work, where we anticipated that banks should see an ~18% improvement in pretax income once AI is fully embedded into the workflow throughout the entire bank, over a timeframe of several years. The evidence points to AI being a cost-and-productivity tailwind for the group rather than a source of disruption. We believe that we are still in the early-stages of productivity benefits, with the survey's ~10% productivity gain (for all banks) and –5% net job add for US banks an early read, and the larger structural benefits still ahead as agentic tools scale and adoption broadens.

Survey shows AI is already delivering measurable productivity and ROI, with banks well positioned to benefit further. Per the survey, AI adoption lifted bank-sector productivity by a net ~10% over the past 12 months (global banks), and the top business outcome that global banks cite is a positive financial impact/ROI at 41% of responses (survey). These are early gains from first-wave copilots and assistants, ahead of agentic deployment at scale. Banks have spent years cleaning up and centralizing their data, and that groundwork and tech investment is what lets AI plug into everyday workflows. JPM has the largest technology budget among our bank coverage at almost $20B in 2026. Within its ~$9.2B investment budget, roughly $2.3B (~25%) is tied directly to AI. Benefits from investment in AI are showing up in results across our coverage, and banks have begun to disclose several proof points.

We see AI driving operating leverage on both sides of the P&L: AI helps to lower costs while freeing capacity that gets redeployed into revenue-generating work. The survey's largest productivity gains for global banks are in some of the banks' highest-cost functions, namely IT/software development (66%), finance/FinOps (61%), customer service (47%), and operations/supply chain management (45%), which are a key expense lever. Freed-up time is being pushed back into client-facing and advisory roles, so the same headcount carries more revenue. For example, financial advisors are able spend more time servicing and prospecting clients, with AI enabling better investment decisions, an expanded product suite, and improved client experience, ultimately leading to more wealth flows per advisor. This dynamic should lead to durable operating leverage rather than a one-time efficiency gain. With continued adoption, benefits should compound as tools move from assisting individuals to running end-to-end workflows.

On headcount, the data reads as banks shifting people toward higher value-add roles, not shedding them. Per the survey, the mix skews heavily toward growth and retention, with 23% new hires, 26% retrained, and 16% redeployed, versus just 25% eliminated or not backfilled, and the US is the sole market at a net job add (–5% net loss, i.e. a gain) on an

AI-attributed basis. Losses skew offshore and toward less experienced workers (2-to-10-year roles), while hiring targets 2-to-10-year experience in AI, data governance, and risk - a talent upgrade rather than a headcount cut. That aligns with management messaging and with what we would expect this early, before autonomous agents absorb more of the workflow. The main lever is attrition, not layoffs, consistent with BAC's "augmented intelligence" framing and JPM management's guidance that the firm will hire "more AI people and fewer bankers in certain categories." JPM has been explicit that it grew client-facing roles while shrinking operations and support functions, and that displaced staff are being retrained and redeployed into other roles rather than cut, with Consumer & Community Banking accounts per operations employee up 6% in the last year (per the company update in February 2026).

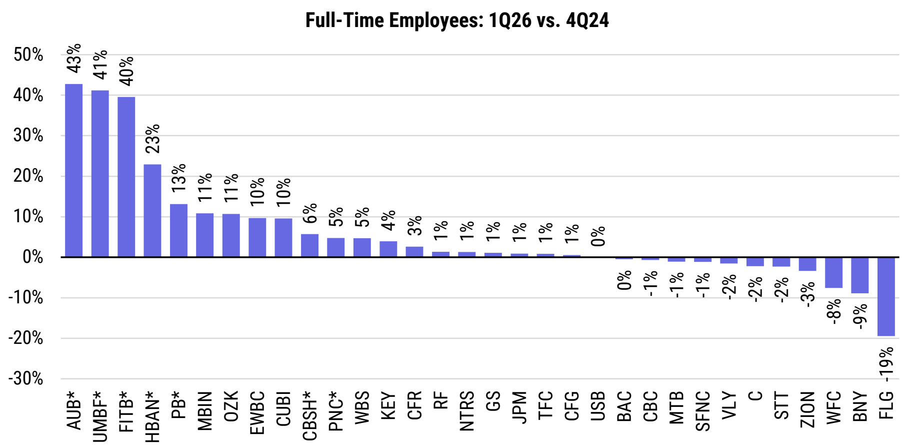
Where the survey seemingly diverges from headcount data is for the largest banks: Some of the largest banks saw aggregate headcount decline over the past year, versus the survey's net +5% add. The reconciliation is that the survey specifically captures AI-attributed impacts, whereas these banks are reducing total workforce today mainly through attrition, operational simplification, and multi-year transformation, with AI as an accelerant from here rather than the current driver. In other words, the structural reduction at the biggest, most complex banks is already running ahead of what AI alone has delivered, and AI should add to it over time. BNY illustrates the direction of travel, having rolled out ~140 "digital employees" that work alongside staff. We see this as evidence of self-help operating leverage still building.

- BNY specifically said on the 4Q25 call that headcount reduction over the last couple of years has 'not really anything to do with AI.' BNY describes AI as "unlocking capacity" instead of reducing headcount in the narrow efficiency sense.
- WFC has attributed headcount reduction to natural attrition and operational efficiency, even before AI benefits, with more to come.
- STT has attributed headcount declines as 'primarily driven by continued efforts to simplify our operations through organization design and technology and automation efforts' (per 2025 10K). STT sees AI as helping to 'rewire the company' which will change the firm's organizational structure.
- Citi has been undergoing a multi-year transformation program (including business sales) that has implications on workforce size beyond just AI. At Investor Day in May 2026, CEO Jane Fraser outlined a four-bucket AI strategy: (1) business strategies/revenue, (2) productivity and end-to-end process improvement, (3) defensive capabilities (cyber/fraud/AML), and (4) longer-term talent and workforce implications.

We view the key constraints as execution risk, as well as normal friction of a ramping technology rollout. The survey's top challenges are all deployment-related: trust/security and reputational risk (23%), data readiness (22%), legacy integration (22%), and an AI skills shortage (22%), all survey figures. None signal AI eating into banks' revenue base, and they are precisely the hurdles that the largest banks got a multi-year head start tackling, via data-governance programs, in-house cyber tooling, and enterprise-wide upskilling that have put AI platforms and dedicated training in front of entire workforces. We view the survey's current productivity read as a floor, not a ceiling. As banks work through data, integration, and skills gaps, the benefits should build.

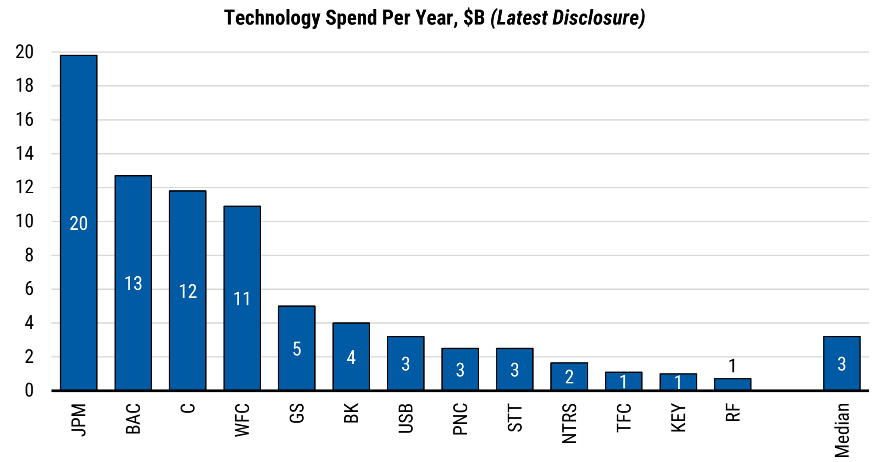
Agentic AI-driven cash optimization tools are another secular factor for investors to consider: While not the focus of this note, investors have been increasingly debating the impact of Agentic AI-driven cash optimization tools on deposit costs. We believe concerns that AI cash-optimization tools will materially pressure deposit pricing are overstated. Even in an AI-native world consumer clients will need to balance rate shopping with the value of branch access, relationships, and banking services. On the commercial side, clients maintain low-rate operating deposits to support treasury and transaction services, while excess balances are often already optimized by corporate treasury teams. We do however acknowledge the risk that these tools could drive faster optimization of deposits when rates are rising, i.e., optimization that once took several quarters may be reduced to weeks during a prolonged rate-hike cycle. Overall, we expect banks will always focus on the all-in returns from their customers. So both corporates and consumers can choose to pay for their bank services through a mix of leaving a sufficient dollar amount of low yielding deposits at the banks and with a hard dollar fee. We expect more yield seeking behavior on the deposit side would only change the mix of revenues towards hard dollar fees, rather than overall returns.

Exhibit 10: Headcount trends at the banks in our coverage have been mixed, but in general banks have been replacing middle/back office roles with more front office roles



Note: Asterisks (*) denote acquisition or merger-related impacts; CBSH, CFR, CUBI, FLG, MBIN, PB, TFC, UMBF, VLY, WBS compare 4Q25 versus 4Q24; Source: Company data, Morgan Stanley Research

Exhibit 11: JPM has the largest technology budget among our Large Cap Bank coverage at almost $20B in 2026; of this, roughly $2.3B is tied directly to AI investments (or 25% of the total $9.2B investment budget)



Source: Company data, Morgan Stanley Research estimates

Europe Banks - More Friend than Foe

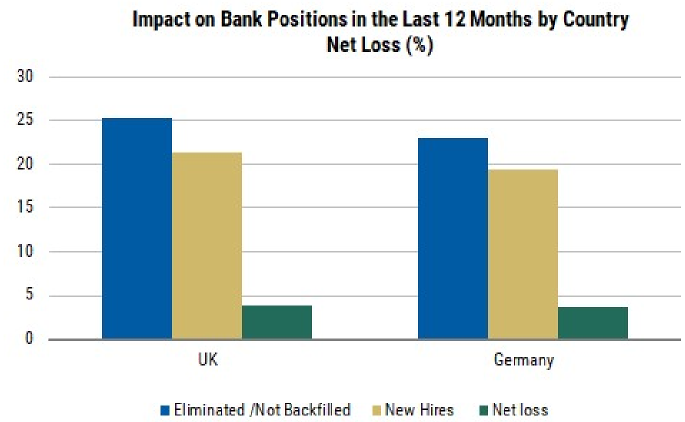
Alvaro Serrano, Giulia Miotto, Almario Sulaj

Focusing only on the European country cut of the survey, AI adoption has driven +4% net job losses in both the UK and Germany over the last 12 months. We see this as more supportive of our cost thesis than the global banks average, but not as the end-state for European bank headcount. We recently published a report, highlighting that we see AI potential benefits outweighing potential headwinds (see European Banks: AI: More Friend Than Foe (28 May 2026))

- **We see banks as net beneficiaries of AI.** The relevant European survey read-through is not the global bank sector average, but the +4% net job losses in each of the UK and Germany. In our view, this makes the labour signal tangible: banks are already reducing or not replacing roles in markets that matter for European listed banks, while reported productivity gains remain concentrated in the functions most relevant to bank cost bases - IT/software development, finance/FinOps, customer support and operations.
- **A +4% net job-loss print is consistent with, not a replacement for, our 10-20% medium-term headcount thesis.** If fully retained as cost savings, a +4% reduction would be worth roughly 0.8pp of cost-income improvement on our framework. More realistically, the near-term P&L benefit will be partly reinvested in data, controls and AI tooling. But it is a useful proof point: our AI note estimates that a 10% reduction in back-office-sourced headcount would move sector C/I from c.52% to c.50%, while a 20% scenario would move it to c.47%.
- **The driver is process density, not front-office replacement.** UK and German banks still carry large central-service, technology, operations, risk/control and customer-support populations. These areas have repeatable workflows, document-heavy processes and measurable service outcomes, which explains why the survey points to productivity before wholesale revenue disruption. We would expect the next phase to show up as lower replacement hiring, retraining and redeployment before clean restructuring charges or large branch-led cuts.
- **We would not straight-line the +4% figure into future annual job losses.** UK conduct rules, German labour governance, model-risk validation and legacy-system integration should make adoption gradual. Conversely, we would also not dismiss the +4% as a one-off. It is early evidence that AI is moving from pilots to workforce planning in two core European markets. Our numbers assume 2-3% reduction in head-count per year.

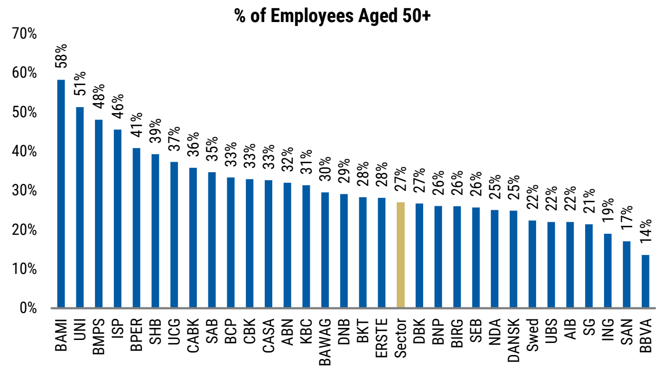
In short, the survey moves the European banks labour debate from a global 3% sector average to a more relevant +4% UK/Germany reduction. We would treat this as visible evidence of cost action, while still requiring company-level proof through C/I guidance, lower replacement hiring and measurable productivity KPIs.

Exhibit 12: UK and German banks have seen a 4% net loss in positions



Source: AlphaWise, Morgan Stanley Research

Exhibit 13: 27% of bank employees are aged over 50



Source: Company data, Morgan Stanley Research

Stock implications: UK cost beta is higher, but so is deposit risk; Germany screens steadier

- **UK banks: larger immediate labour opportunity, vs. the longer term deposit-margin risk.** The +4% UK labour print is supportive for Lloyds, NatWest and Barclays from a cost perspective, especially in support, technology, operations and control functions. Barclays looks better placed on a net basis given its corporate/IB mix and its large back-office cost pool. The UK is also the market where AI-enabled deposit sweeping is most technically feasible, however we see the productivity gains coming earlier and likely of a higher magnitude than the risk of a higher deposit-beta longer term.
- **Germany: labour signal matters, while deposit risk looks more manageable.** The +4% Germany print is a useful challenge to the idea that continental labour frameworks will fully prevent AI-related cost take-out. For Commerzbank and Deutsche Bank, however, deposit-margin risk is lower than for UK domestics: our stressed sensitivity puts the NII impact from a 10% shift into term deposits at -2.6% for Commerzbank and -2.2% for Deutsche Bank, versus -6.2% for Lloyds and -6.1% for NatWest. Germany also screens with a 2025 front-book deposit beta of 29% and an 86% loan-to-deposit ratio, suggesting less need to compete aggressively for deposits absent stronger loan growth.

Looking only at the UK and Germany does not weaken the European banks AI thesis; it sharpens it. The labour data point is higher than the global bank average and is coming from the most relevant European markets in the survey. We would frame the stock debate as: Barclays relatively best placed among UK names on net AI risk; Lloyds/NatWest with more visible cost upside but higher deposit sensitivity; Commerzbank/Deutsche Bank with a credible cost signal and more moderate deposit risk, but with execution, data architecture and governance as the key proof points.

Australia Banks

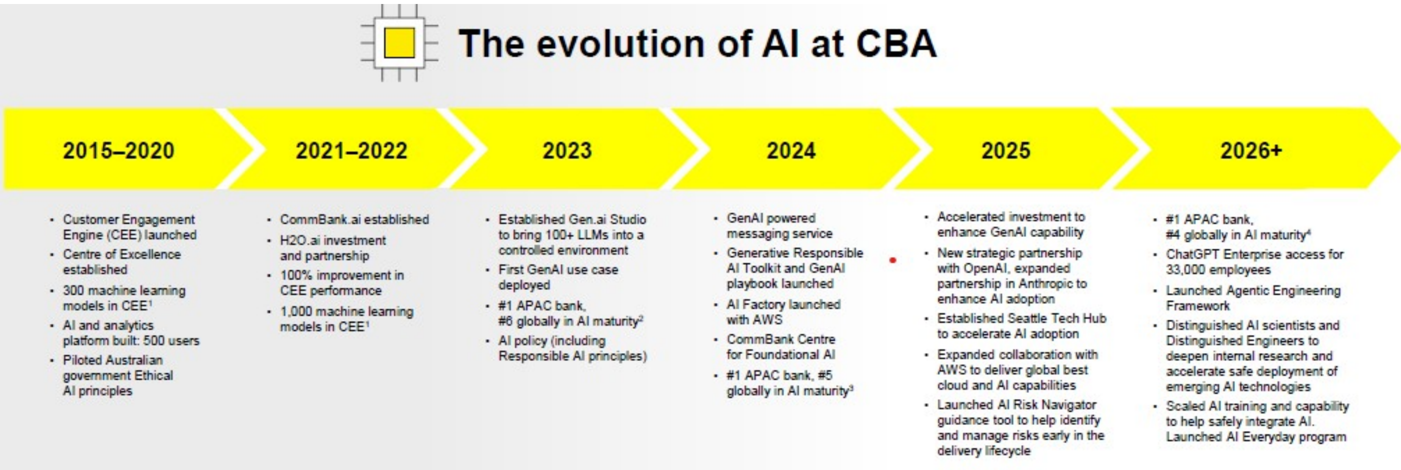
Richard Wiles

Australia's major banks are embedding the use of AI in the workplace: Across the major banks, AI has moved beyond experimentation and is increasingly being positioned as a core operating infrastructure, which is embedded in employee workflows, technology platforms, customer channels, risk controls and transformation programs. The common workforce aims are task redesign, changing workforce mix, and productivity improvement, rather than wholesale job replacement. Banks are using AI to automate routine processes and roles, allowing them to shift capacity from 'run the bank' activities toward 'improve the bank' or 'change the bank' activities.

Banks are generally focused on re-skilling and redeploying staff: Over the next 12 months, there should be even greater focus on re-skilling and redeploying staff. We expect modest AI-driven job losses, alongside an ongoing shift in workforce structure and skill requirements. Process-heavy roles are likely to become leaner and more AI-assisted, while the number of roles relating to customer relationship management, data and analytics, risk management, and transformation are likely to increase and become more important. Against this backdrop, banks will frame AI as a driver of improved productivity, while emphasising the ongoing importance of human relationships in banking.

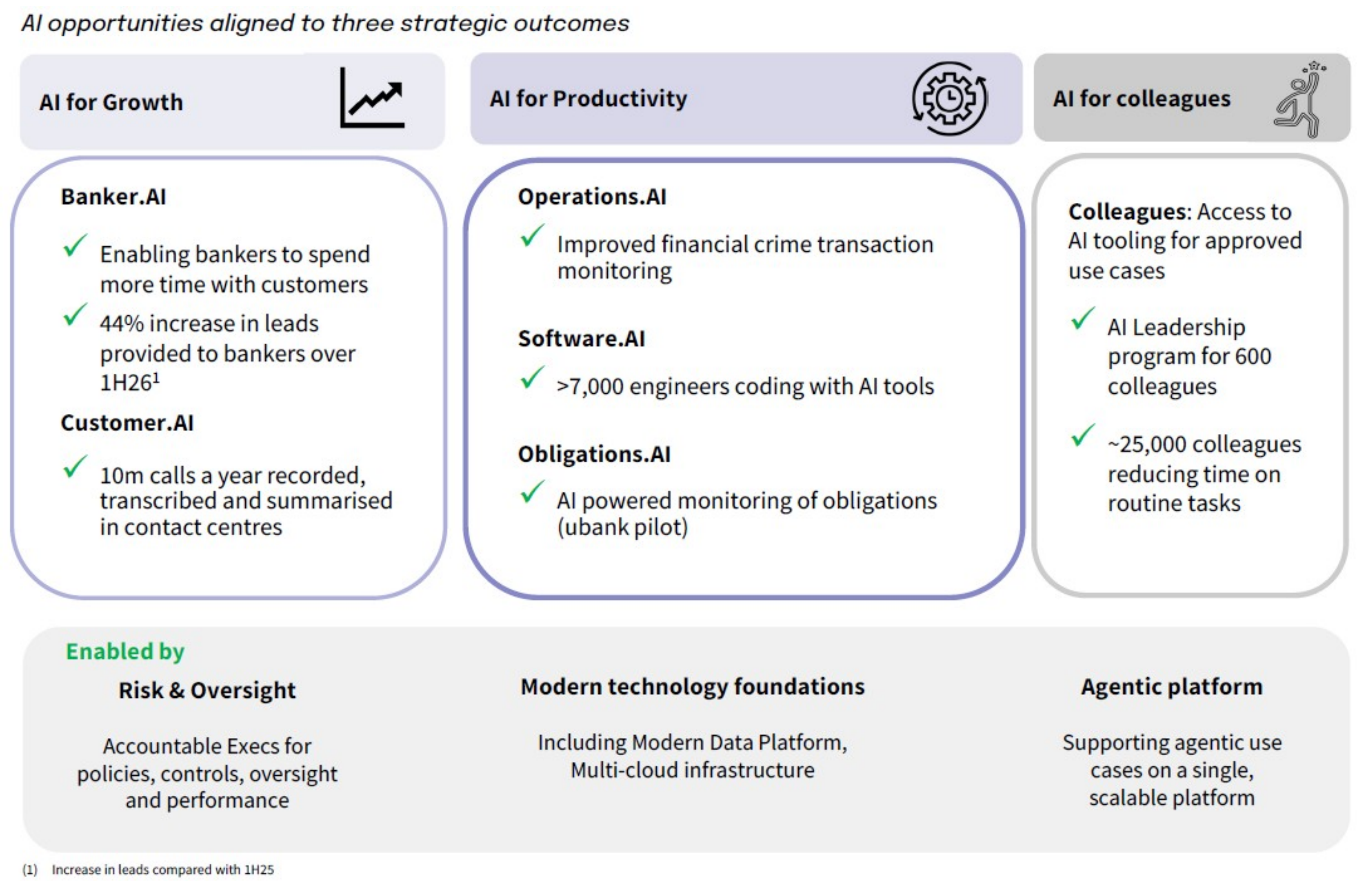
CBA and NAB are accelerating the use of AI: CBA is generally viewed as the most progressed of the major banks on AI adoption, with a growing track record of AI use (refer below). CEO Matt Comyn has noted that *"investing in AI has been a strategic focus for a number of years. AI offers new ways to enhance our customer experience, strengthen risk management, and unlock business value. It helps us deliver tailored experiences for our customers and makes it easier for our people to get things done"*. In 2025, the group launched a tech hub in Seattle to collaborate directly with its technology partners, accelerate learning, and bring advanced skills back to Australia in CBA roles. It has deployed ChatGPT Enterprise to its employees and invested heavily in workforce reskilling through its Future Workforce Program. Mr Comyn has publicly acknowledged that AI will alter work patterns and team structures over time, while emphasising redeployment, training and human-AI collaboration. Elsewhere, NAB is also accelerating AI use, with ~25,000 employees using AI tools and >7,000 engineers coding with AI assistance. CEO Andrew Irvine has argued that AI is becoming integral to how NAB operates and will affect every employee role, but he has stated that the workforce impact is less about headcount reduction and more about changing work content. AI opportunities are aligned to three strategic outcomes: AI for growth; AI for productivity and AI for NAB's own workforce (refer below).

Exhibit 14: CBA uses data, AI and analytics platforms to enhance customer propositions



Source: CBA 1H26 Results Presentation

Exhibit 15: NAB is using AI for growth, productivity and its people



Source: NAB 1H26 Results Presentation

Recent headcount reduction at WBC and ANZ reflects simplification and removal of duplication, rather than AI-driven job losses: WBC is also pursuing a broad AI adoption strategy, providing Microsoft Copilot access to all its employees. CEO Anthony Miller has described this as "*a bet on people rather than software*", positioning AI primarily as a workforce augmentation tool. There is significant headcount reduction associated with its UNITE and Fit for Growth (FfG) programs, but these reflect simplification and the removal of duplication, rather than AI replacement of jobs. In our view, ANZ's AI deployment appears less advanced at this stage, with more emphasis on individual use cases than broad deployment. Importantly, its announced reduction of ~3,500 employees and ~1,000 contractors should not be viewed as a purely AI-driven restructuring. Current CEO Nuno Matos has attributed the changes to broader simplification, removal of duplication and operating-model redesign.

We identify eight key areas of focus for the next 12 months: Investors should focus less on the number of AI pilots and more on evidence of industrialisation. The key question is no longer whether banks are adopting AI, but whether adoption translates into meaningful productivity gains, sustainable cost improvements, stronger customer outcomes, and better risk management. This will determine whether banks can generate a satisfactory return on their growing levels of technology and AI investment.

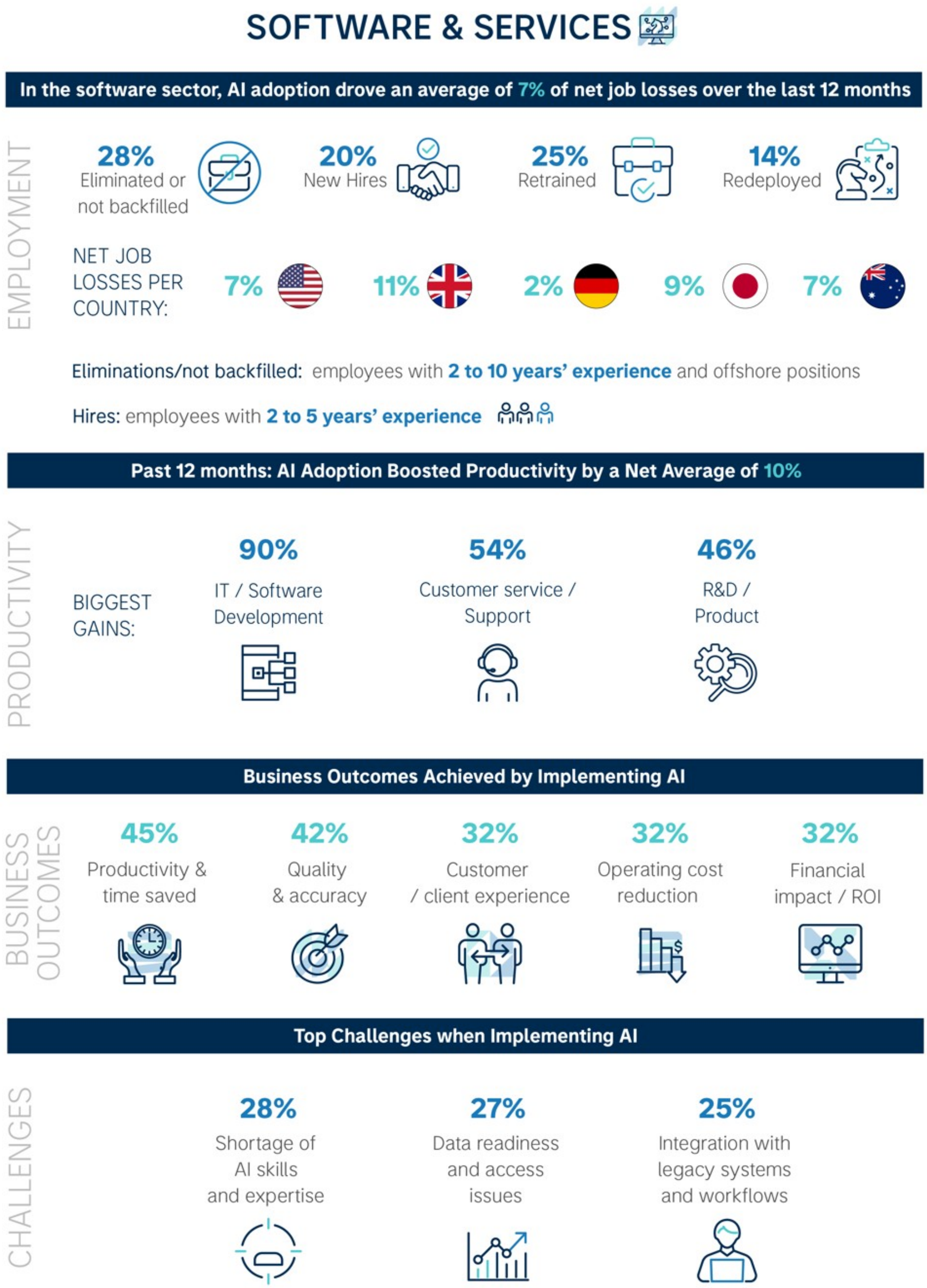
From a 'Future of Work' perspective, we believe key areas of focus include:

1. The benefits of workflow redesign and labour replacement and redeployment relative to the growing costs of cloud infrastructure, AI licences, model development, governance and control functions.
2. Workforce productivity, reskilling and operating-model change.
3. The use of AI to accelerate and better execute cost transformation and simplification programs.
4. The need to maintain human-in-the-loop banking and customer trust in AI tools.

More broadly, other AI-related areas of focus include:

1. The transformation from generative AI to agentic AI and the scope for enterprise-wide deployment.
2. Management of risk, governance and regulatory requirements relating to the deployment of AI in a responsible manner.
3. Data, cyber, security and third-party concentration risk given the extensive use of providers, foundation-model developers and productivity-platform vendors.
4. The use of AI to drive a step change in fraud prevention, risk management, customer experience and banker productivity.

Software - The Story in Pictures



AlphaWise, Morgan Stanley Research

US Software

Meta Marshall

Unsurprisingly, AI is having a material impact to date within the software coverage universe. With software development being a major area of productivity improvement and that being one of the largest expenses for software companies, there has been an opportunity. As a result, compared to semis / hardware / professional services, software names have seen the biggest improvements in productivity.

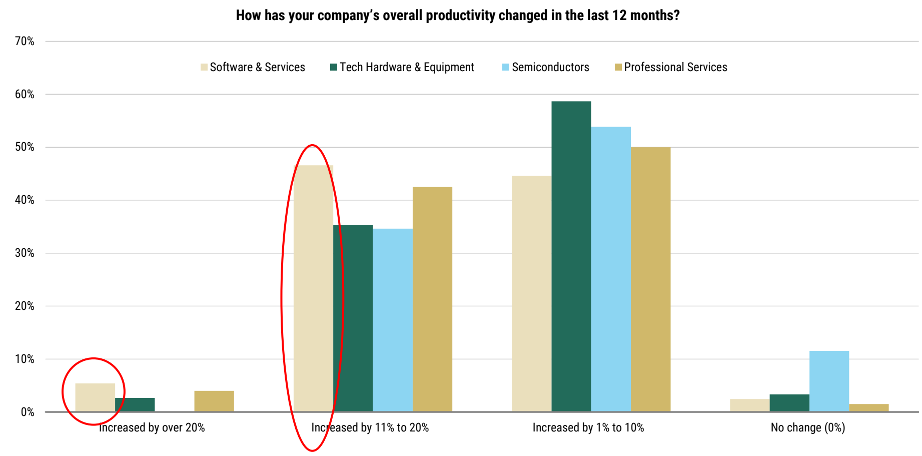
Encouragingly, while cost and efficiency were the first two considerations when adopting AI, the next three priorities all related to the pace of development and innovation. For many of the software companies, particularly in security and infrastructure, there are challenges posed from AI that require more meaningful R&D development, accelerated pipelines. Being able to utilize more efficient resources makes achieving those goals more realistic.

The average size of layoffs has been larger than the 7% noted in the survey (as highlighted in Exhibit 19), as when cuts are made, they tend to be high single digits or low double digits, but not that many companies have announced cuts to date.

Exhibit 16: Use Case Clear Amongst Software Companies

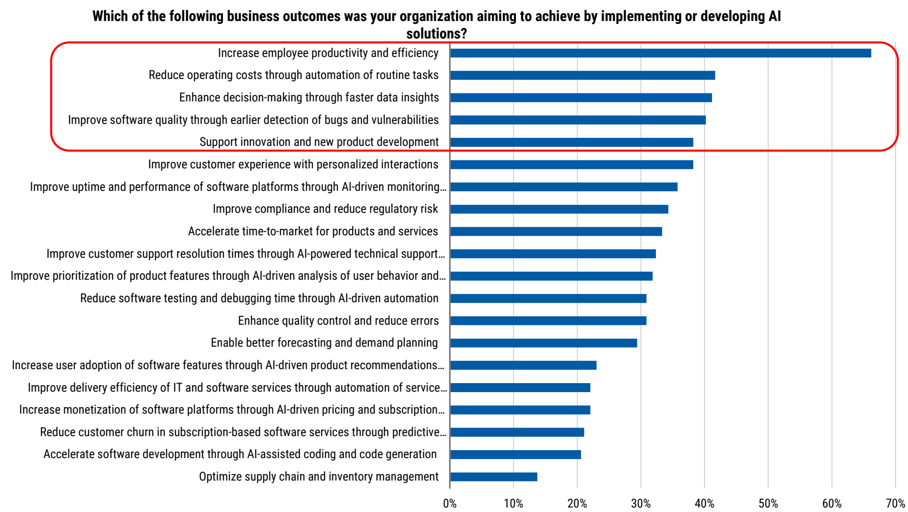
Source: AlphaWise, Morgan Stanley Research.

Exhibit 17: Some of the Greatest Productivity Improvements Seen from AI Are in the Software Industry



Source: AlphaWise, Morgan Stanley Research.

Exhibit 18: While Cost Control Is First In Objectives, Improving Pace of Innovation a High Priority with AI



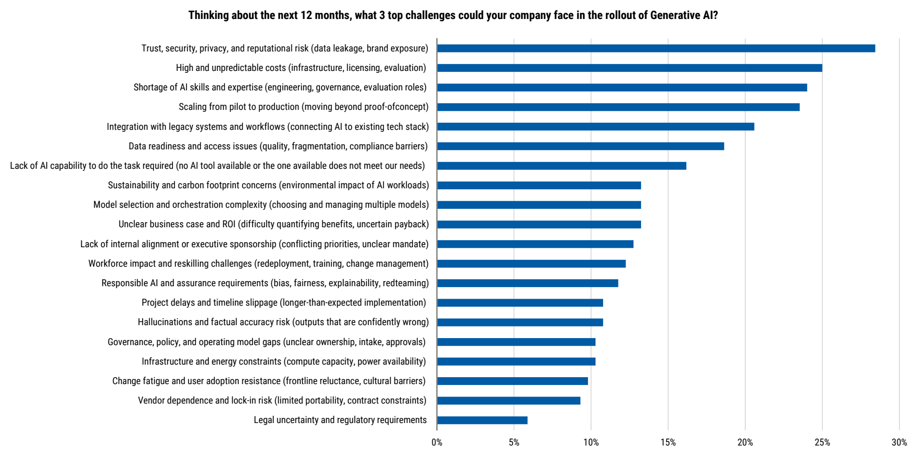
Source: AlphaWise, Morgan Stanley Research.

Exhibit 19: Major Layoffs Announced By Software Companies So Far in 2026

Company	Category	Latest Employee Count	Employee Count As-Of Date	RIF Count Applied	% Reduction Applied
Atlassian	Applications & Analytics	13,813	2025-06-30	1,600	11.6%
Bill.com Holdings	Applications & Analytics	2,364	2025-06-30	709	30.0%
Freshworks Inc	Applications & Analytics	4,500	2025-12-31	500	11.1%
Intuit	Applications & Analytics	18,200	2025-07-31	3,094	17.0%
Wix.com	Applications & Analytics	5,340	2026-05-27	1,000	18.7%
Workday	Applications & Analytics	21,000	2026-01-31	420	2.0%
GitLab Inc	Infrastructure	2,580	2026-01-31	350	13.6%
Microsoft	Infrastructure	228,000	2025-06-30	9,000	3.9%
Cloudflare	Security	5,156	2025-12-31	1,100	21.3%
SentinelOne Inc	Security	2,900	2026-01-31	232	8.0%

Source: Company filings.

Exhibit 20: Despite More Firm Use Case, Challenges Remain the Same



Source: AlphaWise, Morgan Stanley Research.

Europe Software

George Webb, William Richards

Big AI impact, big AI opportunity. We echo the commentary from our US colleagues above; AI is having a material productivity impact on software development and, by extension, on software vendors. We are also encouraged that 3 of the top 5 business outcomes organizations are targeting through the implementation or deployment of AI solutions relate to faster development and innovation. In our view, a key ingredient in software companies' ability to re-rate from depressed valuation levels will be evidence of their participation in the AI wave; by successfully integrating AI into their product portfolios, and demonstrating their value-add via revenue acceleration.

Software job posting data shows a nuanced picture. FRED data on US software development job postings remain well below the post-COVID boom (Exhibit 21). That said, despite our AlphaWise survey indicating that the software sector has experienced net job *losses*, software development job postings are *up* c. 10% over the past 12 months at the index level in the US (Exhibit 22). We do not view these data points as necessarily contradictory. While software companies may have captured significant efficiency gains from AI, there is also a strong industry-wide push to hire talent with the AI expertise needed to support their own AI product-development roadmaps. This may help explain why software development postings are rising, and we suspect many of these roles explicitly require AI skill sets. Ultimately, while some functions within a software company could see net job losses - such as sales, finance, or human resources - others may see net job gains.

So far across European software – labour growth containment more than layoffs. Across our European software coverage, we have not seen any significant layoff announcements year to date. European IT Services giant **Capgemini** is currently undertaking a significant restructuring programme, but we see it as more geography and practice-specific. Several of our covered companies have provided qualitative commentary on AI-driven efficiency gains and how headcount may evolve over time. Chief among them is **SAP**, whose management team has been relatively vocal about its expectations for future headcount trends; we share some key quotes below.

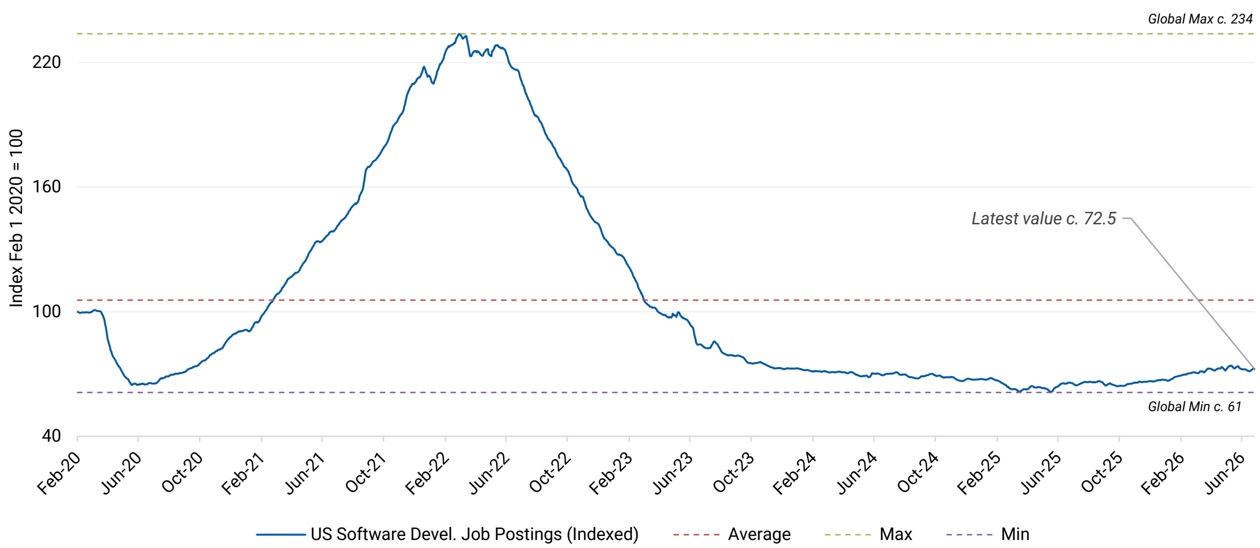
- **Australian Financial Review, June 21 2026 - CEO, Christian Klein:** *"Software development is the function most impacted by AI, and there is a chance that in three to four years, there is actually no one developing software inside SAP any more".*
- **Australian Financial Review, June 21 2026 - CEO, Christian Klein:** *"We need product managers who can vibe code and who can actually understand businesses. Software developers are of lower demand, but we need more data scientists".*
- **1Q 2026 earnings call, 23 April 2026 - CEO, Christian Klein:** *"Our external hiring is highly targeted, focusing on recruiting top experts in data and AI"* and *"With AI assistance, our service and support teams are handling significantly higher ticket volumes without a proportional increase in headcount"*
- **SAP Sapphire 2026, 13 May 2026 - Chief People Officer, Gina Vargiu-Breuer:** *"We have to make sure that we have the right skills on board in order to deliver on our customer and our – to our customers and to our products. So that's why we have an ongoing effort in order to do that. And from a headcount point of view, it's*

very much that we're keeping that flattish."

- **SAP Sapphire 2026, 13 May 2026 - COO, Sebastian Steinhaeuser:** *"Our ambition here is clearly that a lot of simple tasks and executional tasks are going to be executed autonomously for SAP so that our employees can focus on the highest value work. We already see a triple – high triple-digit amount of value realized in budgets today and we are committed to deliver over 2 billion in productivity by 2028. And that's a value that has already measurably increased since we first talked about it."*
- **TIME, 4 August 2025 - CEO, Christian Klein:** *"Do I expect to need the same amount of developers, salespeople, and consultants in the future? Definitely not with the job profiles that they have today. But do I still need other jobs that are coming up - more data scientists? More people thinking about the future of the industry? Yes, absolutely."*

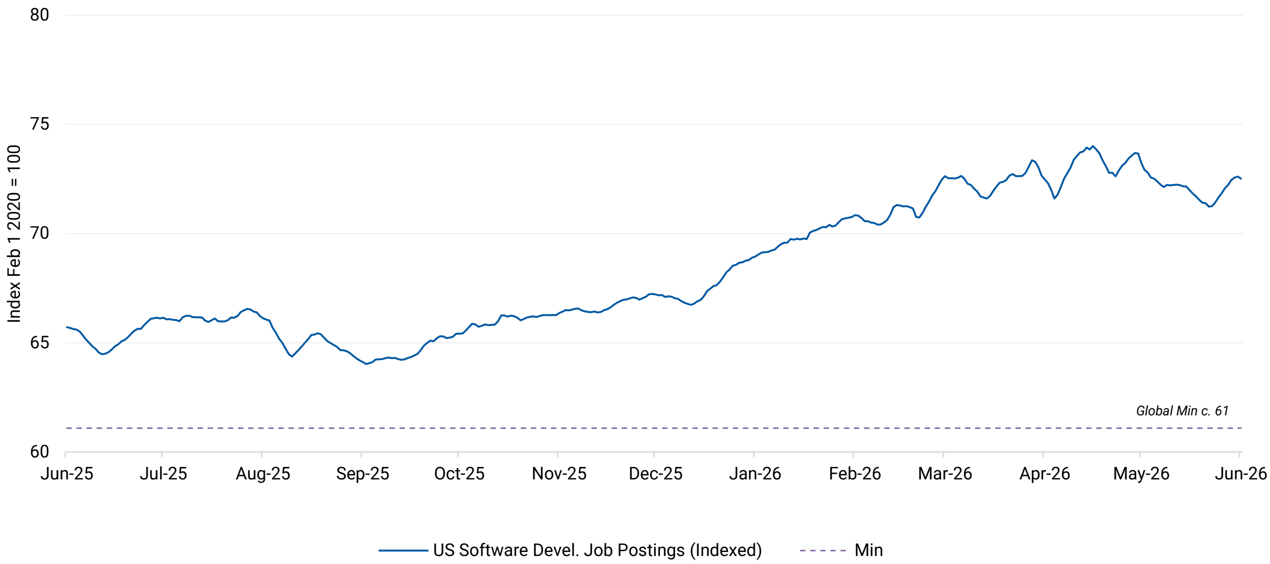
In summary, AI is materially boosting software productivity, but we think investors will likely need to see AI successfully embedded into products and driving durable revenue growth before confidence in the sector fully returns. Moreover, AI may reduce demand for some roles at software companies, but hiring for AI, data science and product skills is rising, with little evidence so far of major European software layoffs.

Exhibit 21: Software development job posting volume in the United States - remains well-below the post-COVID boom...



Source: Indeed via FRED® (data - IHLIDXUSTPSOFTDEVE), Morgan Stanley Research

Exhibit 22: ... but over the past year has seen an upward trend despite questions around AI-driven job displacement in the sector



Source: Indeed via FRED® (data - IHLIDXUSTPSOFTDEVE), Morgan Stanley Research

Australia Software

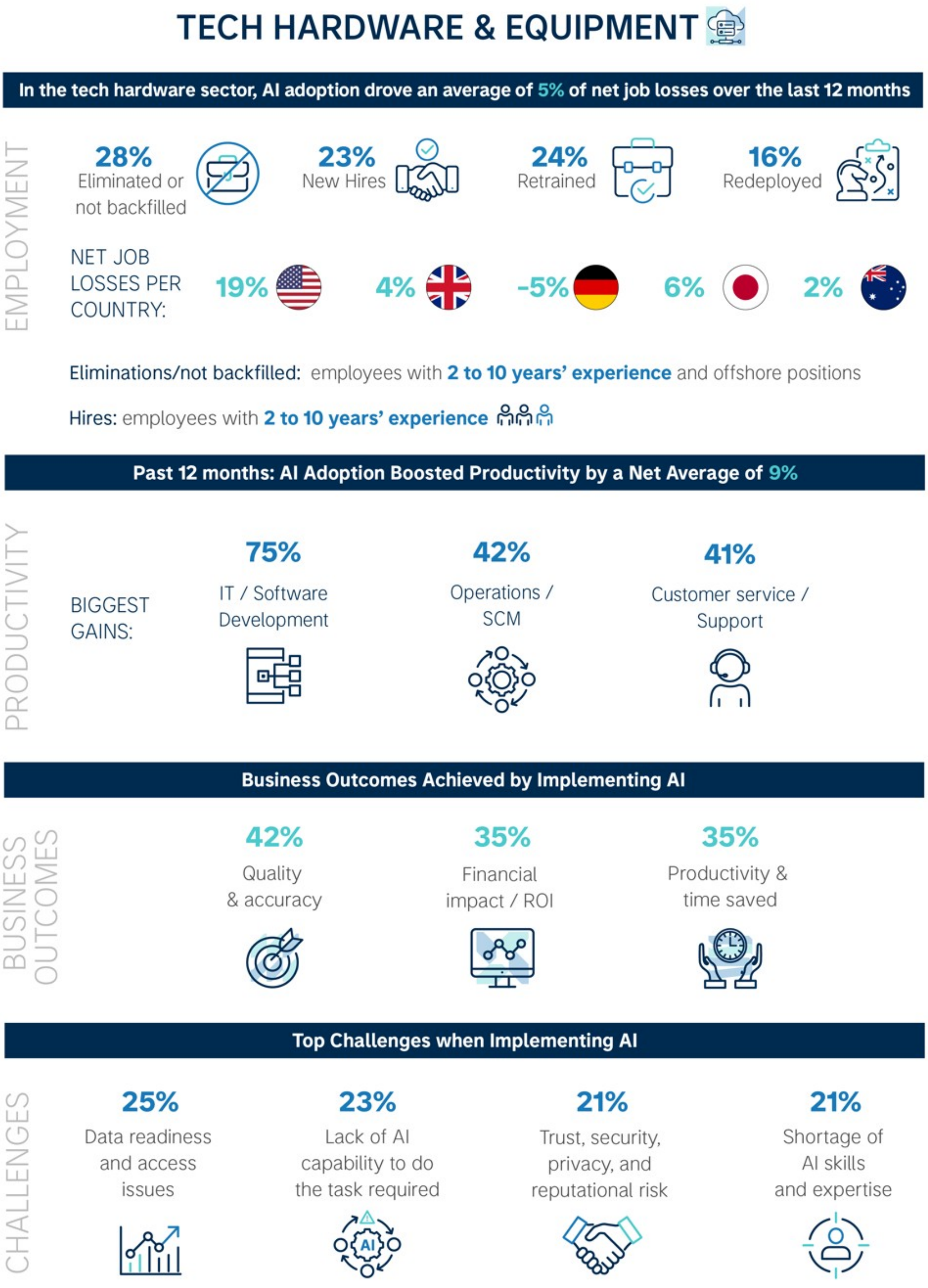
Andrew McLeod, James Bales

Sector exposure: Over the next 12 months, we expect AI adoption to move beyond pilots and experimentation towards broader deployment and new operating models. Initial benefits are likely to come through lower labour intensity across software development, customer support and back-office functions, alongside faster product cycles and higher revenue per employee. Job redesign remains more likely than wholesale substitution, supporting demand for AI engineers, product managers, architects and governance specialists. We also expect stronger demand for data-centre and compute infrastructure, albeit with higher capital and power intensity. Within small cap technology, software companies are taking different approaches, with some reducing offshore staffing while others are reinvesting productivity gains into accelerated product development.

Stock exposure: WTC represents the clearest workforce-disruption case following substantial headcount reductions linked to AI adoption, while XRO has focused on using AI to enhance productivity and customer outcomes rather than reduce staffing. TNE is leveraging AI to drive new product development and revenue opportunities. Within small caps, 360 and SDR are well positioned to benefit, with proprietary datasets providing a basis for differentiated products, stronger operating leverage and greater ability to retain the benefits of automation, rather than pass them through to customers.

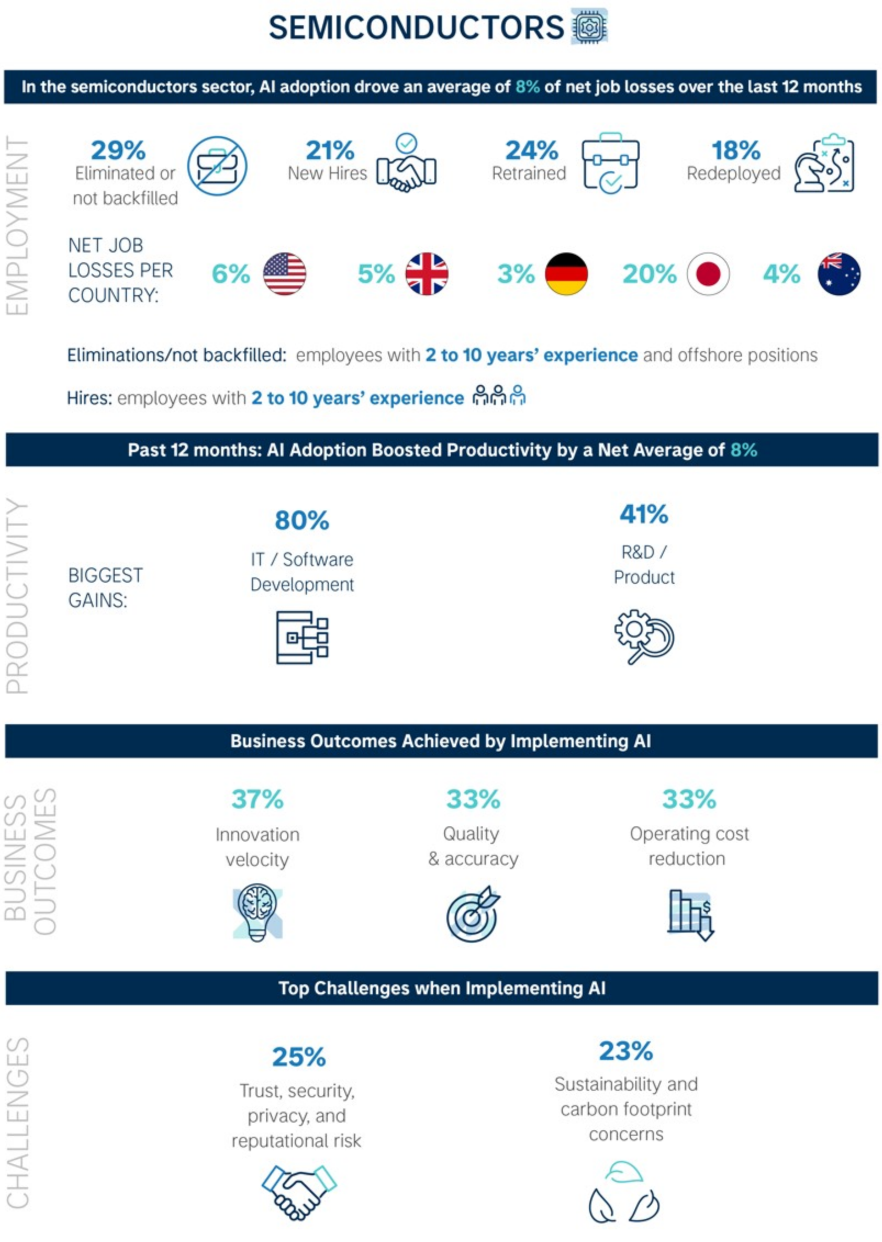
Key areas of focus and debate over the next 12 months: Investor focus has already shifted from AI-driven headcount reduction to evidence that AI can sustainably improve revenue growth, margins and competitive positioning. The key proof points will be adoption, engagement, monetisation and customer outcomes, alongside increasing AI-linked revenues. In our view, investors will increasingly favour companies that use proprietary data, embedded workflows and distribution advantages to create higher-value solutions, while also demonstrating disciplined reinvestment in talent, product development and AI infrastructure.

Tech Hardware - The Story in Pictures



AlphaWise, Morgan Stanley Research

Semiconductors - The Story in Pictures



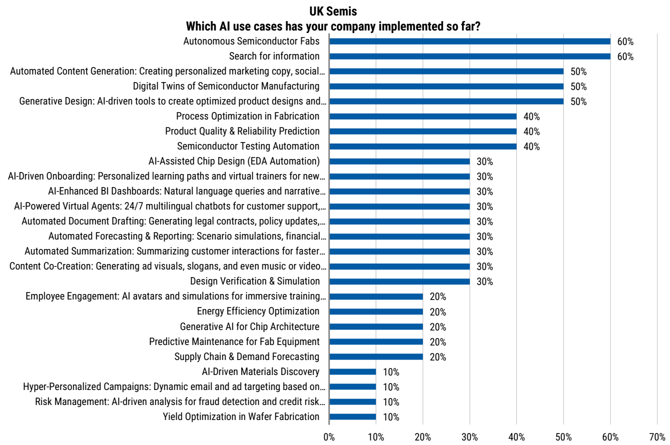
AlphaWise, Morgan Stanley Research

Europe Tech Hardware and Semiconductors

Lee Simpson, Nigel van Putten, Amelia Scicluna

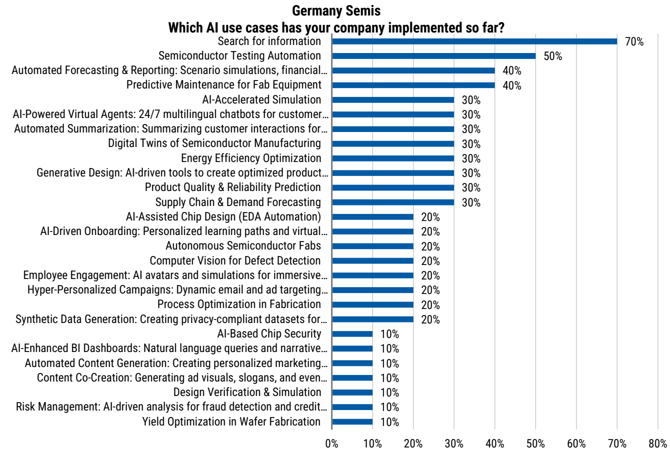
Broad-based AI use cases for the AI Enablers. European semiconductor companies are adopting AI both in their core operations and in content generation. Our survey results see use cases spanning fab automation, testing automation, predictive maintenance and generating ad visuals. These broad-based use cases are consistent with commentary from our Europe Semiconductor coverage as our companies speak to integrating AI to improve product quality and error detection. For instance ASML utilises AI for accuracy and efficiency of computational lithography solutions and STMicroelectronics for defect classification and yield enhancements. We also note growing commentary of AI integration into the design cycle with many beginning to talk to AI's role in design as accelerating product time-to-market. For instance 23% of UK and German Tech Hardware survey respondents cited using Digital Twins of Manufacturing Facilities, supplied by our EDA coverage, Cadence and Synopsys, which we see increasingly deployed in the pursuit of narrowing the simulation-to-reality gap (see our March '26 note *IP, EDA and the Agentic Moment*).

Exhibit 23: UK Semiconductor companies are adopting automation across core fab operations and content generation…



Source: AlphaWise, Morgan Stanley Research

Exhibit 24: …with similar use cases for German Semiconductor companies.



Source: AlphaWise, Morgan Stanley Research

Early innings of headcount reductions across Europe Semis. Within our coverage, ASML, Infineon and Aixtron have all announced headcount reductions this year. While we would flag that management haven't attributed this to AI adoption, this signals a broader push towards cost efficiency and restructuring. However, early signs of AI automation are beginning to appear with ams OSRAM announcing in February this year an intention to reduce headcount by over 2,000 in the next three years as they reallocate labour to Asia and focus on AI automation in Europe.

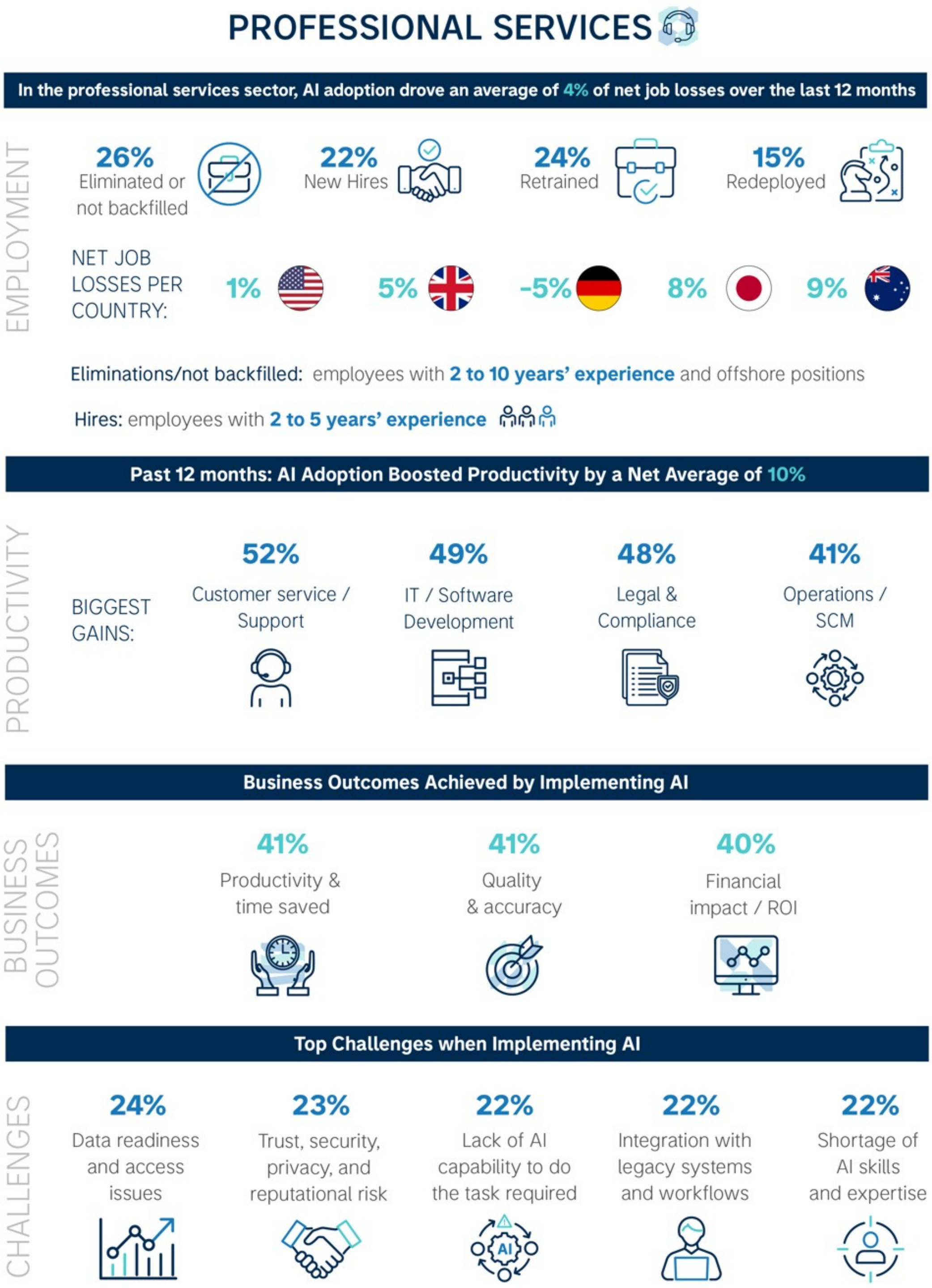
Exhibit 25: Announced Europe Semiconductor headcount reductions FY26

Company	Location	Announced Headcount Reduction	Rationale
ASML	Netherlands	1,700	Announced 4Q25 mainly in the Netherlands and some in the US to reduce management layers and refocus engineering
Infineon	Germany	577	Announced 2Q26 following sale of Thailand manufacturing site
Aixtron	Germany		Announced 1Q26 to 'create a more flexible operating structure'
ams OSRAM	Germany	>2,000 by FY28	Announced Feb26, with 1/2 in Europe and a heavy emphasis on German locations including Regensburg, cites rationale as cost efficiencies through relocating to Asia and AI automation in Europe

Source: Morgan Stanley Research

AI adoption clearly positive for our coverage universe. As semis provide the picks and shovels for AI, the survey results on AI adoption and efficiency gains support our thesis of growing demand for semis and semi-cap equipment. We have written extensively about the different forms of AI and their impact on the semiconductor supply chain. More recently this has been through the lens of Agentic AI – see our Global Insight *Rise of the AI Agent - Global Implications* – where we see CPUs, semi-cap equipment and memory as key beneficiaries. Our survey results reaffirm Europe AI adoption with 48% of UK and German respondents expecting AI adoption to drive net productivity gains above 10% over the next 12 months. We think efficiency gains from adoption of AI models will encourage continued spending on AI infrastructure further supporting demand for the semiconductors to facilitate these models.

Professional Services - The Story in Pictures



AlphaWise, Morgan Stanley Research

US Professional Services

Toni Kaplan

Professional Services companies are positioned to capture AI-driven benefits through both revenue acceleration and cost efficiency. On the revenue side, AI should enable greater data monetization, faster product development, more scalable analytics offerings, and enhanced client-facing workflow tools. This is relevant for information services and software-enabled Professional Services firms, where proprietary datasets, domain expertise, and trusted client relationships can be converted into higher-value AI-enabled products. Cost efficiency is also becoming more visible. AI is being deployed across large labor and extensive processes. Our AlphaWise survey results indicate that productivity gains are already emerging, with the most attractive opportunities in IT and software development, customer service and support, legal and compliance, finance and operations.

In our view, the most durable value creation will come from embedding AI into core operating infrastructure as opposed to isolated task automation or headcount reduction. Companies that successfully use AI to accelerate product velocity, expand data monetization, shorten delivery timelines, and reduce manual processing should be better positioned to drive revenue growth and margin expansion. Conversely, companies with more commoditized offerings or labor-intensive delivery models will likely fall behind on growth and margin expansion as AI reduces the time and cost required for new product development, data ingestion, research, drafting, analysis, and customer support.

Exhibit 26: How Info Services Companies Are Using AI

	Revenue	Cost/Efficiencies	Distribution
SPGI	- Enhancing products with AI capabilities, such as Platts, iLevel, and Capital IQ Pro - Accelerate product development - Expand distribution	- Powerful cost savings engine as 2/3rd of SPGI's cost base is people-related - Utilizing AI within the enterprise data office & software dev teams for productivity	- Maintaining flexible delivery via leading 3rd-party LLMs and utilizing MCP connectors
MCO	- Positioning its proprietary data as a trusted context layer for AI - Utilizing AI for automated credit memos/early warning systems - Accelerating prod dev	- AI is lowering unit cost in product dev, supporting mgmt's confidence in expanding adj. op margins to mid/high 30's by '27	- Partnering with leading 3rd-party LLMs for credit and compliance workflows inside respective interfaces. - Utilizing MCP connectors to pull contextualized data and agents into customer's desired AI platform
EFX	- Using AI to deliver higher performing scores, models, & products - Embedding AI across operations - Launching Ignite AI Advisor (an AI platform for lenders with benchmarking, insights, and agents)	- E3 AI initiatives to yield $75M in annual cost savings over next 3 yrs (call center transformation & automating paper processing) - Software engineers using AI to generate >1M lines of code, driving R&D capacity improvements	N/A
TRU	- Launching AI-powered solutions to boost predictiveness, i.e. role-based AI agents in TruIQ Analytics & creating behavioral models - AI-enabled clients consume the most data - Strongest ever new prod launches in '26	- Expectation for software developer productivity to jump by 30-50% due to AI tools - Savings to be reinvested into product innovation and improving customer/operations	N/A
MSCI	- Deploying AI for custom indexing, ESG controversies, synthesizing private markets data - Benefitting from AI via reduced development time on products from months/years to days/weeks	- AI will allow MSCI to lower expense run rates, reallocate savings into new innovations at greater speeds - Cost per data point in private markets improving by >30% as efficiencies begin to show - AI efficiencies from data ingestion/extraction, speed, and scale.	- AI connectivity for proprietary datasets through 3rd-party LLMs - MCP connectivity, integrations through MSCI ONE
TRI	- Gen-AI as a % of ACV of 30% - Next gen CoCounsel product in beta w/ full launch in 3Q - Model agnostic, but has built a Thomson AI model that may increase speed at a lower cost	- Internal efficiencies expected to more than offset continued investment into products and technology.	- Partnership with 3rd-party LLMs for distribution, with CoCounsel availability on other platforms - MCP connectivity capabilities to deliver proprietary data to clients in their preferred location
IT	- Investment into developing AskGartner - Advising clients on AI topics - Building neural network AI model to identify trending client topics, helping to grow Insights library by 50%	- Actively applying automation to streamline processes and upskill analyst teams - Expanding sales team training and efficiency	- Not interested in being a data distributor - value proposition is getting insights into their mission-critical priorities/strategy.
VRSK	- >35 AI-powered projects and solutions including anti-fraud, underwriting & claims automation offerings	- Seeing efficiency and productivity in software development, data ingestion, and other areas.	- LLM partnership allows for greater access, as some of their data is available on other sources (cost tables, other output from in-house granular data)
FDS	- 48 of top 50 Clients using at least 3 AI solutions - Faster product creation and speed to market for new products	- AI coding assistants authoring 20% of code and, freeing up 1/4 of engineers' capacity - 25%+ reduction in manual curation - AI helping with some customer service use cases	- LLM partnership to ensure its datasets are available in frontier lab marketplaces - MCP connectivity

Source: Company data, AlphaSense, Morgan Stanley Research

Key conclusions from our AlphaWise survey specific to the Professional Services Sector:

- Professional Services companies are using AI in attempt to achieve greater productivity
- Companies expect an acceleration in increased net productivity gains over the next 12 months vs. the last 12 months (9.6% to 12.2%)

- AI adoption in Professional Services is concentrated in the core workflows of knowledge work
- Companies are seeing ROI benefits in high-volume, repeatable workflows as opposed to specialized, judgement-heavy workflows
- AI is largely reshaping roles rather than eliminating them

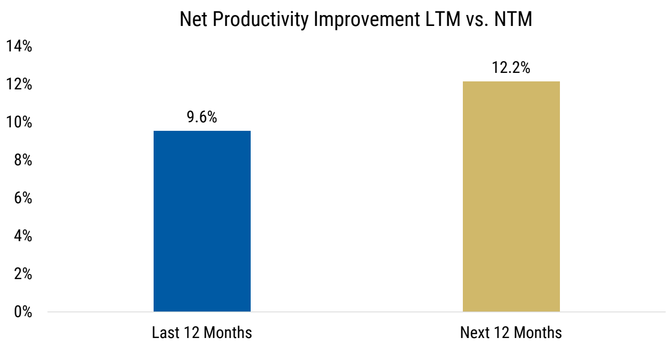
The primary measurable benefit companies aim to achieve from AI adoption in Professional Services is productivity. Respondents reported an average gross productivity improvement of 10.4% over the past twelve months, or 9.6% on a net basis after implementation costs, including tools, cloud infrastructure, integration, data governance, compliance, and training. Productivity gains are most evident in customer service and support, IT and software development, legal and compliance, operations, finance, and marketing. We have seen AI benefits already starting to materialize, particularly in areas where output is easier to measure, such as tickets resolved, code reviewed, documents summarized, contracts analyzed, reports generated, workflows automated, and client requests handled more quickly. This supports the broader finding that firms are using AI to improve employee productivity, enhance deliverable quality and consistency, reduce operating costs, improve customer experience, and shorten document review, contract analysis, and due diligence cycles.

Exhibit 27: Increasing productivity tops the list of top 10 business outcomes aimed to achieve from implementing AI

Source: AlphaWise, Morgan Stanley Research

Companies expect productivity gains to increase over the next twelve months. Professional Services respondents expect an average gross productivity improvement of 12.1%, up from 10.4% over the past twelve months. On a net basis, after implementation costs, respondents expect a productivity improvement of 12.2%, up from 9.6%. This suggests respondents expect implementation costs to be absorbed more efficiently as AI tools scale, workflows mature, and employees become more effective users of the technology. These expected gains reinforce the view that the next phase of AI value creation will come from embedding AI into repeatable workflows, rather than relying solely on generic productivity tools.

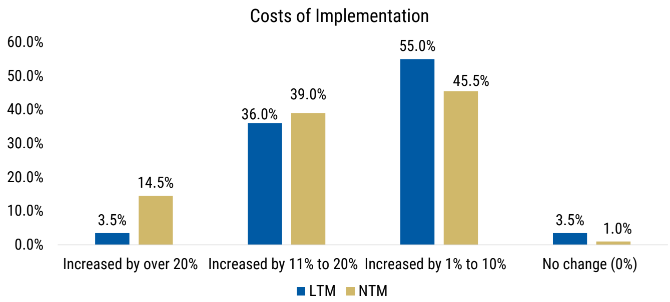
Exhibit 28: Respondents are seeing productivity improvement from AI, and are expecting even more NTM



Questions asked: Thinking about the next 12 months, and taking into account your company's cost of implementing AI (tools, cloud, integration, data governance/compliance and training), what was the NET productivity impact? / … What do you expect the NET productivity impact to be?

Source: AlphaWise, Morgan Stanley Research

Exhibit 29: Increasing expectations for net productivity gains

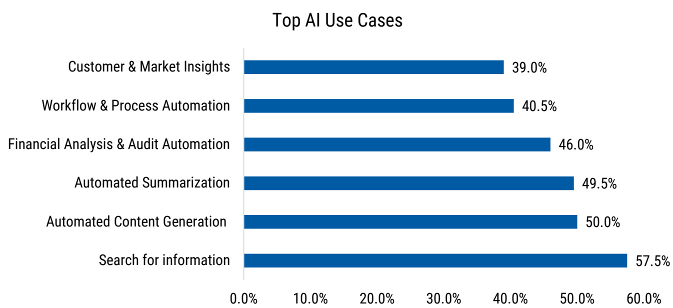


Question asked: Thinking about the next 12 months, and taking into account your company's cost of implementing AI (tools, cloud, integration, data governance/compliance and training), what was the NET productivity impact? / … What do you expect the NET productivity impact to be?

Source: AlphaWise, Morgan Stanley Research

AI adoption in Professional Services is concentrated in the core workflows of knowledge work. The most widely implemented use case is information search, followed by automated content generation, summarization, financial analysis and audit automation, and workflow automation. In our view, AI is moving beyond experimentation and becoming embedded in day-to-day service delivery. Firms are using AI to find information, draft materials, summarize documents, review contracts, analyze data, and support client-facing work. This reinforces the view that AI is emerging as a productivity layer across Professional Services, rather than a standalone technology tool. Adoption remains lower in more specialized or higher-risk workflows, including due diligence, predictive business advisory, automated deal analysis, litigation analytics, and AI ethics and governance advisory. This indicates meaningful white space remains, but also suggests firms are moving more cautiously in areas where accuracy, auditability, confidentiality, and expert judgment are critical.

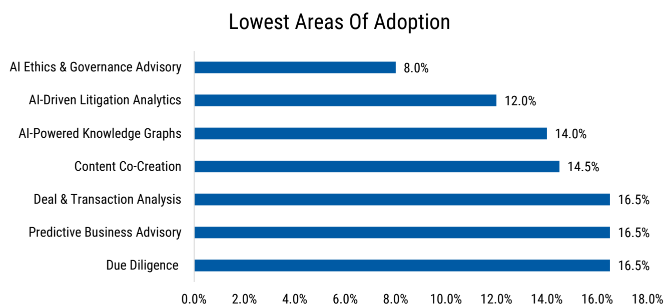
Exhibit 30: Information Search and Content Automation lead use case adoption



Question asked: Which AI use cases has your company implemented so far?

Source: AlphaWise, Morgan Stanley Research

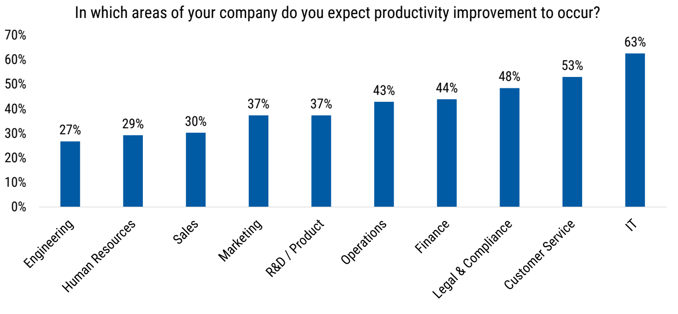
Exhibit 31: Adoption lower in areas where stakes are higher and more expertise/accuracy is needed



Question asked: Which AI use cases has your company implemented so far?

Source: AlphaWise, Morgan Stanley Research

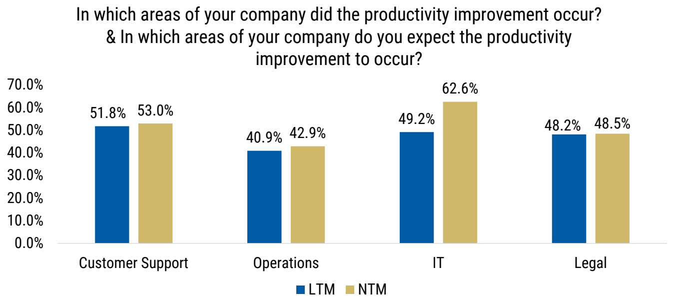
Exhibit 32: IT Customer Support and Legal lead expected productivity gains



Question asked: In which areas of your company do you expect productivity improvement to occur?

Source: AlphaWise, Morgan Stanley Research

Exhibit 33: Productivity benefits are the broadest in IT, Customer Support, Legal and Operations

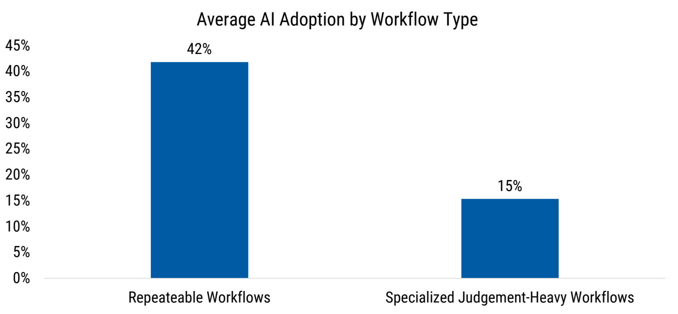


Question asked: In which areas of your company did the productivity improvement occur? & In which areas of your company do you expect the productivity improvement to occur?

Source: AlphaWise, Morgan Stanley Research

ROI benefits are being seen in high-volume, repeatable workflows as opposed to specialized, judgement-heavy workflows. The clearest returns are likely in high-volume, repeatable workflows such as research, document review, summarization, software development, customer support, compliance, and financial analysis. ROI is likely less proven in more specialized, judgment-heavy applications where accuracy, explainability, security, and governance requirements are higher.

Exhibit 34: Repeatable workflows show clearer AI value than judgement-heavy applications

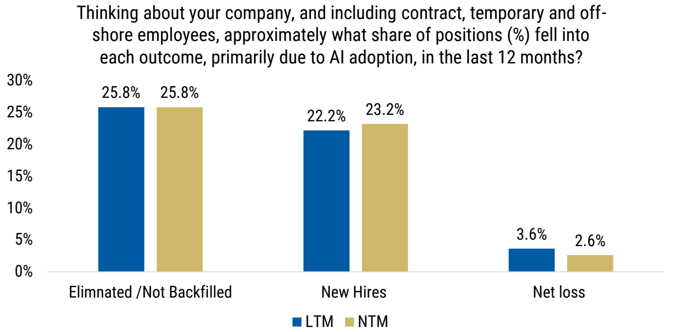


Question asked: Which AI use cases has your company implemented so far?

Source: AlphaWise, Morgan Stanley Research

AI is largely reshaping roles rather than eliminating them. Over the past twelve months, positions eliminated or not backfilled exceeded AI-related new hires, implying a net position loss of roughly 3.6 percentage points. Eliminated or unfilled roles represented 25.8% of positions, compared with 22.2% for AI-related new hires. However, the data does not support a simple "AI equals job cuts" narrative. Many roles are being reshaped rather than eliminated: 24.3% of positions were retrained or upskilled and retained in the same role, while 15.5% were redeployed to another role or team. Combined, retraining and redeployment represented a larger share of the labor response than direct eliminations alone. AI is changing the composition of labor demand rather than driving broad-based labor replacement. This points to an AI-augmented workforce model, rather than immediate, widespread job displacement.

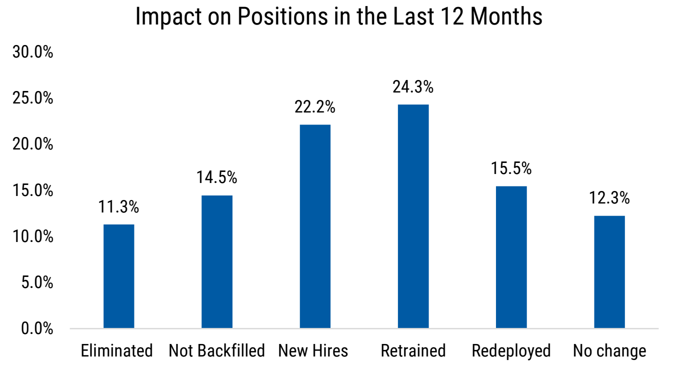
Exhibit 35: Share of Positions impacted by AI adoption



Question asked: Thinking about your company, and including contract, temporary and off-shore employees, approximately what share of positions (%) fell into each outcome, primarily due to AI adoption, in the last 12 months? / … approximately what share of positions do you expect to fall into each outcome, primarily due to AI adoption, over the next 12 months?

Source: AlphaWise, Morgan Stanley Research

Exhibit 36: AI is reshaping roles more than simply eliminating jobs

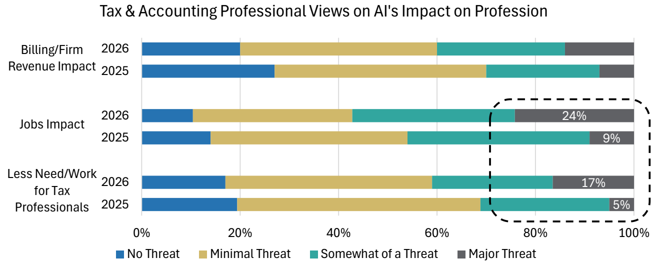


Question asked: Thinking about your company, and including contract, temporary and off-shore employees, approximately what share of positions (%) fell into each outcome, primarily due to AI adoption, in the last 12 months?

Source: AlphaWise, Morgan Stanley Research

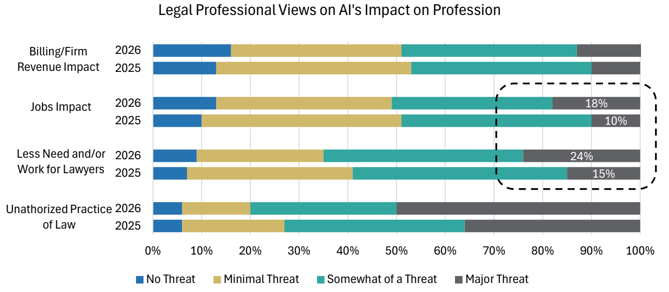
Outside of the AlphaWise Survey discussed above, Thomson Reuters' 2026 AI in Professional Services Report supports increased adoption of AI use highlighting productivity within employees' work, with 82% of individuals using AI at least weekly. Both Tax & Accounting and Legal Professionals increasingly expect AI to have a meaningful impact on the profession, with concern levels rising notably between 2025 and 2026 across staffing, jobs, and firm economics. While most respondents still view AI as only a minimal-to-moderate threat, the percentage expecting an impact on jobs nearly tripled from 9% to 24% within Tax & Accounting and 10% to 18% with Legal, suggesting growing recognition that AI can materially reshape how each industry work is performed, even if it is more likely to augment professionals and improve productivity than eliminate the need for them entirely. With regards to there being less of a need for professionals in both spaces, 17% and 24% of respondents believed there may be less of a need for accounting and legal professionals respectively, 3.5x and 1.5x greater than the prior year's view as entry-level accountants and paralegals are seeing more of their tasks being augmented. We dove deeper into the potential impact AI could have on the Tax and Accounting industry in our note, here: Thomson Reuters Corp.: AI Counts: The Accounting Automation Wave (12 Jun 2026).

Exhibit 37: Nearly 1/4th of Tax and Accounting professionals view AI as impactful to their jobs...



Source: Thomson Reuters, Morgan Stanley Research

Exhibit 38: ...compared to nearly 1/5th of Legal professionals, both showing exponential acceleration Y/Y.



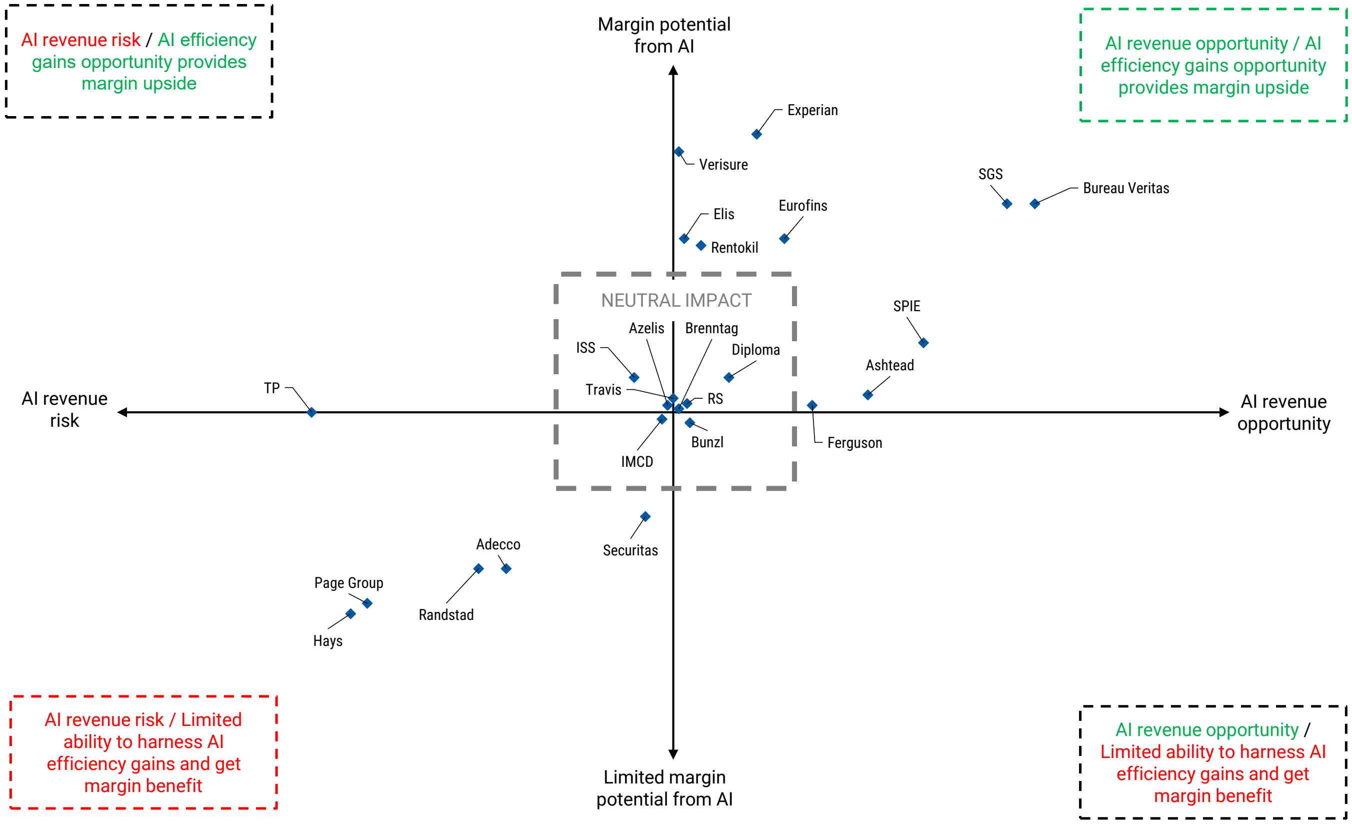
Source: Thomson Reuters, Morgan Stanley Research

Europe Professional Services

Annelies Vermeulen, Zachariah Al-Qaryooti

Wide range of potential impacts within our Business Services coverage. Due to the diverse nature of our European Business Services coverage (going from distributors, to pest control and customer service outsourcing), we see a wide range of potential AI risk and opportunities depending on each company's business model and end market. Overall, the discussion in our sector remains centered on assessing the AI revenue and cost opportunity against each company's pricing power and the likelihood of full disintermediation due to AI-led automation. We show on Exhibit 39 and Exhibit 40 a matrix showing how we are thinking about the risk/opportunity for each company in our coverage and a summary of how AI could benefit or disrupt the business model.

Exhibit 39: AI revenue opportunity / benefits from efficiency gains on margin matrix



Source: Morgan Stanley Research

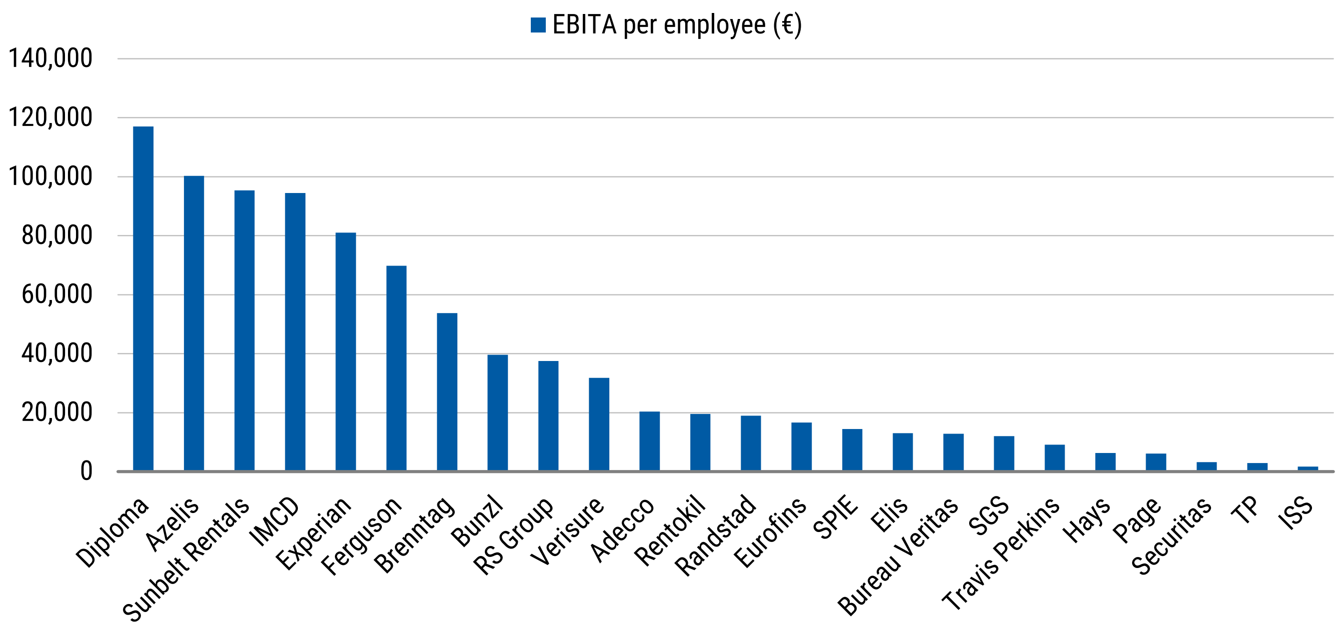
Exhibit 40: Business Services: MS view on AI revenue/margin potential for our coverage

Company	AI revenue opportunity	Ability to harness efficiency gains / improve margin	Comments
Adecco	**-**	**-**	**Risk of lower volume of placement and online disintermediation (for perm), intense competition/lack of pricing power limit margin optionality**
Ashtead	**+**	**=/+**	**Revenue exposure via data centre construction. AI optimisation of network density and connected fleet should support margin expansion over the midterm.**
Azelis	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
Brenntag	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
Bunzl	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
Bureau Veritas	**+**	**+**	**Opportunity with leading positioning in data center commissioning. Potential for efficiency gains meaningful combined with pricing power.**
Diploma	=/+	=/+	Accelerating revenue exposure in the US business, notably in WCW and some in Seals.
Elis	=	+	Limited revenue exposure but pricing power combined with AI optimisation of route density could support margin expansion over the midterm.
Eurofins	=	+	Relatively limited revenue exposure but AI could support efficiency gains in a market where we think Eurofins has pricing power given its leading position.
Experian	**=**	**+**	**Relatively limited revenue exposure but AI could support efficiency gains in a market where we think Experian has pricing power given its leading position.**
Ferguson	**+**	**=/+**	**Revenue exposure through data centre construction work. AI optimisation of network and route density should support margin expansion.**
Hays	**-**	**-**	**Risk of lower volume of placement and online disintermediation (for perm), intense competition/lack of pricing power limit margin optionality**
IMCD	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
ISS	**=**	**=**	**Neutral impact. Lower employment could be compensated by more outsourcing/concentration, some AI use cases but pricing power relatively limited.**
Page Group	**-**	**-**	**Risk of lower volume of placement and online disintermediation (for perm), intense competition/lack of pricing power limit margin optionality**
Randstad	**-**	**-**	**Risk of lower volume of placement and online disintermediation (for perm), intense competition/lack of pricing power limit margin optionality**
Rentokil	=	+	Limited revenue exposure but pricing power combined with AI optimisation of route density could support margin expansion over the midterm.
RS Group	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
Securitas	=	-	No obvious direct revenue exposure to AI. Potential for AI-enabled secruity systems to reduce costs but we consider pricing power to be limited.
SGS	+	+	Most revenue exposure from cybersecurity and AI certification services. Combination of AI efficiency gains and pricing similar to other testers.
SPIE	+	=/+	Enabler of AI with data center exposure and energy business. Pricing power, no obvious scalable AI use cases and positive mix: slight positive for margins.
TP	**-**	**=/+**	**Risk of revenue headwind with small contribution from AI data services for now, extensive potential AI use cases but debate on ability to improve margins**
Travis Perkins	=	=	Limited impact on both revenue and margin, AI less relevant to the investment case.
Verisure	**=**	**+**	**No risk to revenue given competitive moat, AI to support continued divergence between ARPU (growing) and RMC (declining) and therefore margins.**

Source: Morgan Stanley Research

Why AI impact on labour matters for Business Services. Given the opportunity for AI to deliver efficiency gains and potentially reduce headcount, we think this is particularly relevant for a labour-intensive sector such as Business Services (see relatively low EBITA generation per employee on Exhibit 41). Indeed, around two thirds of the sector's cost base is labour, with AI use cases potentially unlocking material efficiency gains. With 50% of companies we cover in the sector reporting an operating margin below 10%, this could represent a significant avenue for profitability improvement. However, not all companies in our space will benefit from these efficiency gains, in our view, as some addressable markets could prove to be too competitive for companies to retain the benefits of AI on their own P&L. In our view, Experian, Verisure, the Testers and route density-based models (Elis, Rentokil) are the names most likely to benefit from AI-led automation.

Exhibit 41: EBITA per employee (€) as at FY25



Source: Company data, Datastream, Morgan Stanley Research

We outline below our key takeaways from the latest survey in the context of our European Business Services coverage:

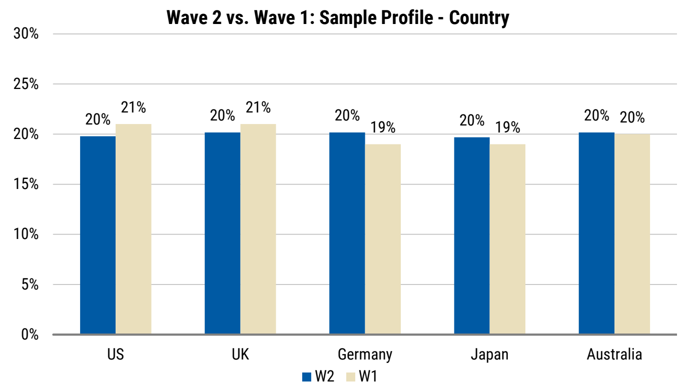
- Overall, **Professional Services respondents reported net job losses of ~4% over the last 12 months**, consistent with the results from the broader surveys across other sectors at 4-5% in Waves 1 & 2. These results tell us that so far, we are not seeing more aggressive job destruction in Professional Services relative to other sectors. Of the respondents in Professional Services, 61% saw employee productivity as a top reason for implementing AI, and it is working – 97% of total respondents felt that AI has indeed improved productivity (44% think AI has improved productivity by >11%). 98% of Professional Services respondents are keeping humans in the loop; only 1% want to use AI to fully remove roles.
- **Experian:** 24% of respondents saw issues relating to data (quality, fragmentation, compliance barriers) as a top 3 barrier to developing AI over the next 12 months. This supports our view that Experian's vast, high quality proprietary data gives it a competitive advantage over potential new entrants. On the productivity side, 70% of respondents saw IT / Software Development productivity improve and 75% expect it to continue to become more productive in the next 12 months. Experian management have highlighted that its 7,000 software engineers who are "hands on keyboard" producing code have seen productivity uplifts of 10-15% in FY26, allowing the group to keep headcount broadly stable on an organic basis, while delivering 8% organic revenue growth. Overall, we believe AI productivity gains support the group's medium term margin expansion guidance of 30-50bps p.a. (Experian expects to deliver at the high end of this in FY27).
- **Testers:** 13% of all respondents noted responsible AI and assurance requirements as one of the top 3 challenges in the rollout of Generative AI. This supports our view that the TIC companies have an opportunity from compliance with new AI

regulation: the testers already provide compliance and assurance services for the EU Artificial Intelligence Act, but as the remit of the AI Act expands and more companies seek to ensure compliance, more verifications will be needed to ensure quality and safety for consumers.

- **TP:** The survey results show high expectations for productivity improvements in customer service – 48% of respondents saw better customer service productivity in the last 12 months, and 50% of respondents expect productivity in customer service to further improve in the next 12 months. We continue to see this as a deflationary headwind to the top line for TP, as customers expect cost reductions from efficiencies unlocked by TP thanks to automation.
- **Staffers:** 41% of total respondents noted temporary contracted employees are the most impacted by job cuts (including offshore employees), a similar number to Permanent and direct employees (where 38% see that as the most impacted job). This tells us that AI job destruction related pressure facing the staffers in our view, is not only limited to permanent recruitment, with temporary & contracting also at risk. We wrote about the risk from AI to the staffers in an Insight note in December (see here).

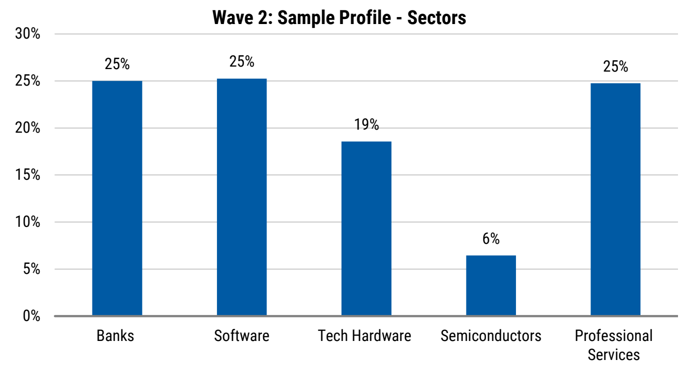
Sample Profile

Exhibit 42: Country



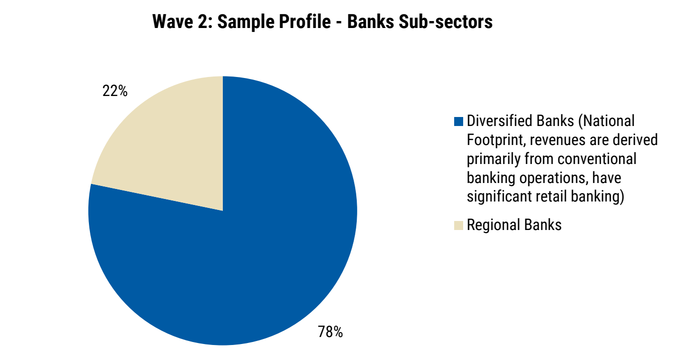
Source: AlphaWise, Morgan Stanley Research

Exhibit 43: Sectors



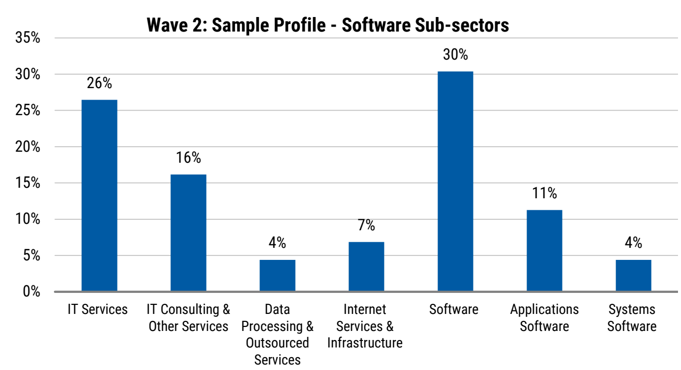
Source: AlphaWise, Morgan Stanley Research

Exhibit 44: Banks Sub-sectors



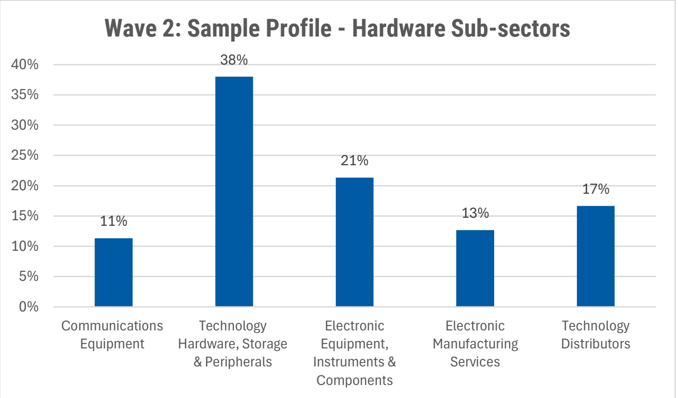
Source: AlphaWise, Morgan Stanley Research

Exhibit 45: Software Sub-sectors



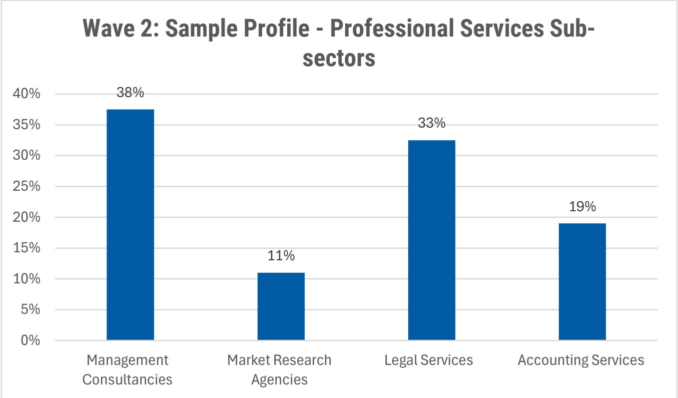
Source: AlphaWise, Morgan Stanley Research

Exhibit 46: Hardware Sub-sectors



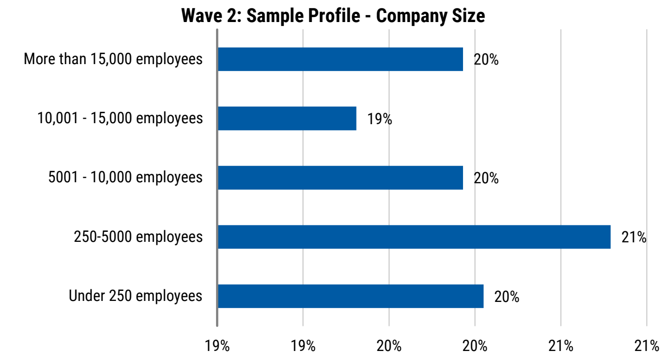
Source: AlphaWise, Morgan Stanley Research

Exhibit 47: Professional Services Sub-sectors



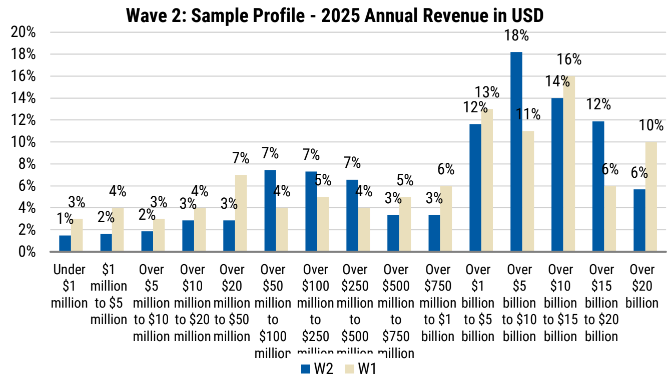
Source: AlphaWise, Morgan Stanley Research

Exhibit 48: Company size



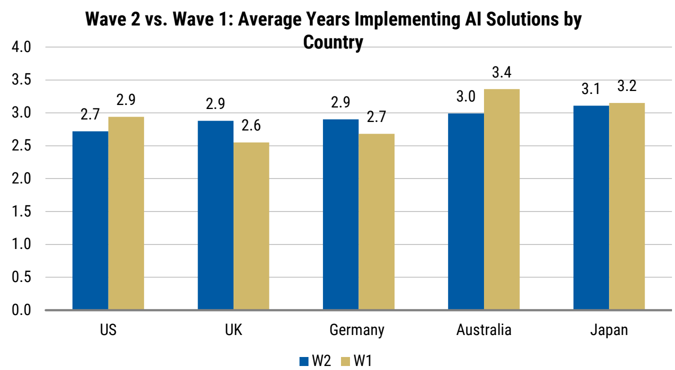
Source: AlphaWise, Morgan Stanley Research

Exhibit 49: 2025 Annual Revenue



Source: AlphaWise, Morgan Stanley Research

Exhibit 50: Average Years Implementing AI Solutions by Country



Source: AlphaWise, Morgan Stanley Research

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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